EUROPEAN
COMMISSION

Brussels, 20.4.2023
SWD(2023) 80 final

COMMISSION STAFF WORKING DOCUMENT

IMPACT ASSESSMENT REPORT

Accompanying the documents

COMMISSION IMPLEMENTING REGULATION (EU) …/... implementing Council Regulation (EC) No 139/2004 on the control of concentrations between undertakings and repealing Commission Regulation (EC) No 802/2004

COMMISSION NOTICE on a simplified treatment for certain concentrations under Council Regulation (EC) No 139/2004 on the control of concentrations between undertakings

{C(2023) 2400 final} - {C(2023) 2401 final} - {SEC(2023) 251 final} -
{SWD(2023) 81 final}

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Glossary (IN ORDER OF APPEARANCE)

TERM/CONCEPT	DEFINITION/EXPLANATION
NCA	National Competition Authority. Each Member State of the EU has an NCA, which is a member of the European Competition Network ECN.
Jurisdictional assessment[1]	Notification under the EU Merger Control Regulation depends essentially on meeting certain turnover thresholds and a change in control, including the acquisition of joint control over a joint venture.
Assessment of the incentives[2]	The concept of incentive (here to foreclose) is about the financial gain of employing a potentially anticompetitive strategy.
Market share thresholds for horizontal overlaps between the activities of the parties[3]	Based on its decisional practice, Court rulings as well as economic literature, certain market share thresholds have been used as rebuttable presumptions, below which harm to competition is unlikely. Under EU merger control rules, this threshold has traditionally been set at combined market shares of 20%-25% for horizontally overlapping (and therefore directly competing) activities of the parties to a concentration.[4]
Market share thresholds for vertical relationships between the activities of the parties[5]	Under EU merger control rules the market share threshold for vertical relationships between the activities of the parties to a concentration (i.e. where one of the parties is active upstream or downstream of one of the other parties to the concentration) whereby harm to competition is considered typically unlikely has traditionally been set at combined market shares of 30% upstream and downstream.[6]
Small joint ventures (JV)[7]	JV with no or negligible, actual or foreseen activities within the territory of the European Economic Area (EEA). Under current rules the maximum turnover to fall into this category in the EEA is EUR 100 million.[8]
Market share calculation[9]	First steps in assessing concentrations consist of defining the relevant market in which the parties to the concentration compete, as well as the share, each of the parties to the concentration and

[1] See Section 5.2; subsection 5.2.3; Option 2 of the Impact Assessment Report (the Report).
[2] See Section 6.1; subsection 6.1.1; Option 2a, paragraph three of the Report.
[3] See Section 5.2; subsection 5.2.2; Option 1a of the Report.
[4] See Section 6.1; subsection 6.1.1; paragraph two.
[5] See Section 5.2; subsection 5.2.2; Option 1b of the Report.
[6] See Section 6.1; subsection 6.1.1; paragraph two.
[7] See Section 5.2; subsection 5.2.2; Option 1c of the Report.
[8] See Section 6.1; subsection 6.1.1; paragraph eight.
[9] See Section 6.1; subsection 6.1.1; paragraph thirty.

	their competitors account for, in order to get a first idea about the strength of the players in the market at issue.
Categories of simplified cases	Currently, there are 5 categories of cases which qualify for a treatment under the simplified procedure. The conditions are based on either turnover and asset value, or market shares, or a party is to acquire sole control of an undertaking over which it already has joint control.
Commercially sensitive information[10]	Business secrets and other confidential information the disclosure of which would significantly harm a person or undertaking.
Customer foreclosure	A strategy of a vertically integrated firm to deny rivals access to its (downstream) customer base. If a company through a merger with a downstream firm controlled a large part of demand, it could foreclose its rivals upstream by no longer allowing its subsidiary to purchase from these rivals.
eIDAS Regulation[11]	Regulation on electronic identification and trust services for electronic transactions in the internal market.
Downstream market	A market, which is one level down in the supply chain, e.g. usually a market, where products get produced using inputs from an upstream market (raw materials, semi-finished products), or where products are distributed.
Foreclosure	A strategy of a vertically integrated company to deny its rivals access to inputs (upstream, input foreclosure) or access to customers (downstream, customer foreclosure).
Form CO(ncentration)	The document by which normal cases must be notified to the Commission. Form CO specifies the information that must be provided by notifying parties when submitting a notification to the European Commission of a proposed merger, acquisition or other concentration. Form CO is Annex I of the Implementing Regulation.
Form RM:	Form RM specifies the requirements and information that submitting parties must provide when they present **remedies** in order to solve the competition concerns. Form RM is Annex IV of the Implementing Regulation.
Form RS	Form RS specifies the information that submitting parties must provide when making a **reasoned submission** for a pre-notification referral under Article 4(4) or (5) of Council Regulation (EC) No 139/2004 of 20 January 2004 on the control of concentrations between undertakings. Form RS is Annex III of the Implementing Regulation.

[10] See Section 6.1; subsection 6.1.1; paragraph thirty four.
[11] See Section 7.4; subsection 7.4.2; first paragraph.

Herfindahl-Hirschman Index (HHI):	The HHI is a concentration measure of firms in the market at issue and an indicator of the amount of competition among them. It is calculated by squaring the market shares of each competing firm in the industry and then summing the resulting numbers.
HHI delta:	It is the difference between the HHI post merger and the HHI before the merger and is used as a first filter to determine the increase in concentration in a market.
Short Form CO(ncentration)	Information requirements in simplified cases, which is a drastically reduced version of the Form CO used for normal cases. The Short Form CO is Annex II of the Implementing Regulation.
Non-controlling shareholdings:[12]	Any shareholding that does not confer control in the sense of the EU Merger Regulation.
Normal cases or non-simplified cases:	Concentrations that require the completion of the full Form CO for a more detailed review procedure.
Pre-notification contacts on the assessment/on questions of jurisdiction:[13]	It is a service offered by the Commission to notifying parties on a voluntary basis in order to prepare the formal merger review procedure. As such, while not mandatory, pre-notification contacts can be extremely valuable to both the notifying parties and the Commission in determining, amongst other things, the precise amount of information required in a notification and, in the majority of cases, will result in a significant reduction of the information required.
Simplified cases:	Concentrations that can normally be authorised if there are no special circumstances and that are handled by the Commission under the so-called simplified procedure, as opposed to "normal" or "non-simplified" cases.
Unproblematic merger cases	Mergers, which do not raise serious doubts as to their compatibility with the internal market or do not lead to a significant impediment to effective competition
Upstream market:	A market at the previous stage of the production/supply/distribution chain, on which material inputs are produced and supplied to the next level of the supply chain.

[12] See Section 6.1; subsection 6.1.1; paragraph thirty four.
[13] See Section 5.2; subsection 5.2.3; Options 2 and 3 of the Report.

1. INTRODUCTION: POLITICAL AND LEGAL CONTEXT

EU merger control – based on Council Regulation (EC) No 139/2004 of 20 January 2004 on the control of concentrations between undertakings (the "EU Merger Regulation"), its implementing Regulation[14] and related Notices and Guidelines – aims at ensuring that corporate reorganisations in the form of concentrations do not result in lasting damage to competition in the internal market.

Under the EU Merger Regulation, the Commission has exclusive jurisdiction to assess whether concentrations with an EU dimension (as defined based on turnover thresholds), as well as concentrations referred to it by national competition authorities ("NCAs"), would significantly impede effective competition in the internal market or a significant part of it.[15] Parties to a concentration are required to notify to the Commission all concentrations having an EU dimension, by completing a specific notification form. Member States are involved in all cases notified to the Commission. They receive copies of all notifications, can request a referral of cases to or from the Commission and are explicitly consulted in all cases in which an in-depth investigation is launched.

Pending the Commission's review and until the Commission's approval, the parties to the concentration cannot implement their concentration. To carry out the review, the EU Merger Regulation grants the Commission powers to investigate these concentrations and to collect all necessary information, including from the parties to the concentration and third parties, for instance from the customers, competitors and suppliers of the parties to the concentration. At the end of the merger control review process, the Commission may authorise the concentration as initially planned, authorise the concentration subject to commitments offered by the merging companies to remedy any competition problems identified by the Commission, or prohibit the concentration. The majority of concentrations notified to the Commission (93% of all notified cases in 2021) do not raise competition concerns and receive unconditional clearance.

Since 1989 (when the EU merger control regime was introduced), the Commission has sought to focus its investigations on the most relevant cases from a competition perspective, which have a significant impact on EU businesses and citizens, while reducing the administrative burden on businesses subject to merger review where possible -- without impairing effective enforcement. To that end, in 2000 the Commission introduced a simplified procedure for categories of concentrations that can normally be authorised if there are no special circumstances ("simplified cases" as opposed to "normal" or "non-simplified cases" which require a detailed review procedure). Under the simplified procedure, notifying parties are required to provide less information to the Commission; the Commission generally does not request information

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[14] Commission Regulation (EC) No 802/2004 of 21 April 2004 implementing Council Regulation (EC) No 139/2004 on the control of concentrations between undertakings (OJ L 133, 30.04.2004, p. 1) as amended (the "Implementing Regulation").

[15] Concentrations that do not have an EU dimension may still come within the jurisdiction of one or several EU Member States. To ensure that the most appropriate authority carries out the assessment, and as long as certain conditions are met, the review can be referred from the Commission to the Member States or vice versa under the EU Merger Regulation's referral system.

from third parties; and the review is normally completed faster. In 2013, the Commission adopted a number of additional measures (the "2013 Simplification Package") to further simplify the review process without impairing the effectiveness of the EU merger enforcement. It aimed principally at extending the categories of simplified cases, at reducing the information requirements for merger notifications and at streamlining the notification process. The 2013 simplification package entered into force on 1 January 2014.

Since cases with a European dimension are defined through turnover criteria without any assessment of the actual effect of the respective concentrations on competition, many concentrations that are notifiable to the Commission under the EU Merger Regulation are unlikely to result in lasting damage to competition in the internal market. The simplified procedure aims to capture these cases. It is based on certain presumptions, in particular based on market shares, but also on size measured in turnover and balance sheet figures in the case of joint ventures. These presumptions, which have developed over the years based on experience gained, are used to formulate certain categories of cases, which normally do not lead to competition issues. There are currently five such categories. Three of them are based on market shares, with upper limits of not more than 20% for horizontal overlaps and not more than 30% for vertical relationships, as well as below 50% if the increment results in an HHI below 150. One category is based on turnover and balance sheet below EUR 100 million for joint ventures, and the last one is about changes from joint to sole control. Since these categories are built on presumptions, the Commission reserves the right to revert to the normal procedure via so-called safeguard mechanisms.

Any concentration which is not subject to the simplified procedure is treated under the normal procedure. The difference between the two procedures is the level of scrutiny applied by the Commission. As normal cases have a higher propensity to lead to competition problems in one or more markets, the information requirements in the notification form are higher, the Commission will ask more questions in the pre-notification period and may also, following the formal notification, do a targeted or full market investigation asking information from third parties. In practice, in all normal cases the Commission contacts third parties to gather information via written questionnaires and/or calls.

Conversely, in concentrations falling under the simplified procedure, the Commission employs a lighter approach, which leads to gains on both sides, in particular less information to be submitted to the Commission both by parties to the concentration and third parties, a faster administrative process and an earlier adoption of the clearance decision. The evaluation of procedural and jurisdictional aspects of EU merger control launched in 2016 (the "Evaluation") concluded that parties to concentration saved on average more than 25 working days (that is to say more than 5 calendar weeks) overall (including pre-notification and notification) in cases treated under the simplified procedure.

In 2014, the Commission adopted the White Paper entitled "*Towards more effective EU merger control*" (the "2014 White Paper"). The 2014 White Paper and accompanying documents took stock of issues concerning the substantive assessment of EU merger control under the EU Merger Regulation. In this 2014 White Paper, the Commission

found that "*merger control at the EU level was strengthened by the 2004 Merger Regulation reforms*" and that the EU Merger Regulation "*provides a good framework for effectively protecting competition and thus consumers from anticompetitive effects of mergers and acquisitions in the internal market"*. As such, it was concluded that no fundamental overhaul of the EU merger system was needed, but that there was room for improvement on specific issues. The Commission identified, at that stage, "*two main ways to improve the Merger Regulation through more limited amendments*". The first concerned jurisdiction: bringing acquisitions of non-controlling minority shareholdings into the scope of EU merger control. The second, procedures: further streamlining case referrals.

The Evaluation took as a starting point the White Paper adopted in 2014 (and the underlying body of work) and aimed at completing the initiatives and work streams identified therein.[16] In designing the scope of the Evaluation, however, the Commission did not simply rely on the work conducted before the adoption of the 2014 White Paper, but also on subsequent developments and additional work conducted by its services. Thus, first, concerning jurisdiction, it was decided not to further assess the issue of the possible extension of the scope of application of the EUMR to include the review of non-controlling minority shareholdings (the comprehensive work undertaken had not unearthed compelling evidence that such a reform was needed at that point or that it could effectively work at European level without creating a lot of complexity).[17] Instead, focus was put on new market developments, namely the acquisition of highly valued companies with limited or no turnover so far. In particular, the 2014 *Facebook/WhatsApp* transaction had ignited a debate about the effectiveness of the turnover-based jurisdictional thresholds of the EUMR. This question had emerged in earnest only after the 2014 White Paper and thus had not been specifically discussed in the previous public consultations. Second, concerning procedures, the Commission decided to more generally evaluate merger procedures and existing room for further simplification, beyond the referral system and the options identified in 2014.[18] This followed, amongst others, stakeholders' demand (notably from the business community) for further

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16 The Commission had conducted diverse public consultations on the EU Merger Regulation in 2009, 2013 and 2014.

17 In 2016, DG Competition commissioned and published an independent support study for impact assessment concerning the possible review of the EUMR regarding minority shareholdings. The purpose of the study was to provide the Commission with additional information on the topic of acquisitions of non-controlling minority shareholdings from the point of view of both competition and corporate law and practice in different jurisdictions where such acquisitions are subject to merger review, as well as on the different levels of rights usually attached to non-controlling minority shareholdings in several countries. In its final report, the authors of the study (*Spark Legal Network* and *Queen Mary University of London*) identified a number of reservations concerning the introduction, as proposed in the White Paper, of a system for the control of minority shareholdings in the EUMR. See also the announcement of Commissioner Vestager in her speech at the Studienvereinigung Kartellrecht ("*Refining the EU merger control system*") on 10 March 2016.

18 Apart from referrals, the 2014 White Paper had only specifically identified the possibility of (1) removing the obligation to notify joint ventures located and operating totally outside the EEA and (2) empowering the Commission to exempt from notification certain categories of transactions that normally do not raise competition concerns.

streamlining of procedures, as well as the Commission's objective to ensure that its merger control practice is as efficient as possible.

In March 2021, the Commission finalised the Evaluation[19], which focused on three topics: (i) jurisdictional thresholds, (ii) the referral system, and (iii) simplification.[20] Regarding (i) and (ii), the Commission found that the jurisdictional thresholds of the EU Merger Regulation (complemented with the referral mechanisms) are generally effective in capturing significant transactions in the EU internal market. The Commission also decided to give its full potential to Article 22 of the EU Merger Regulation by accepting under certain circumstances referrals by Member States, even for transactions which do not meet national merger notification thresholds. Against this background, the Commission accepted a referral of the acquisition of Grail by Illumina in April 2021. The General Court upheld the Commission's decision in July 2022 (Case T-227/21 Illumina v Commission). As regards (iii), the Evaluation confirmed that the 2013 simplification measures have been effective in increasing the application of the simplified procedure to unproblematic mergers and in reducing burden both for businesses involved (i.e. the notifying parties) and the Commission without leading to risks of underenforcement. However, the Evaluation also revealed that there is still room to streamline the enforcement of EU merger control by the Commission.

These findings were published in a Staff Working Document ("SWD") on 26 March 2021. At the same time, the Commission launched an Impact Assessment with the aim to revise the Implementing Regulation and the Notice on Simplified Procedure[21], in the context of which two Consultations of stakeholders took place. More concretely, the Commission launched a Public Consultation from 26 March 2021 to 18 June 2021 (the "Public Consultation"), covering different options considered for further targeting and simplifying its merger review, for both simplified and - where possible - non-simplified merger cases, without compromising effective merger enforcement. Then, following the assessment of the feedback received during the Public Consultation and further internal research, the Commission reviewed the Implementing Regulation and the Notice on Simplified Procedure and prepared revised draft legal texts on which it launched a Consultation of stakeholders, from 6 May 2022 to 3 June 2022 (the "Consultation of Stakeholders"). Lastly, following feedback received from stakeholders, the Commission carried out a third, targeted, consultation of stakeholders, which took place from 5 to 19

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19 See Commission Staff Working Document – Evaluation of procedural and jurisdictional aspects of EU merger control, 26 March 2021, SWD(2021)66 final.

20 Regarding (i) and (ii), the Commission found that the jurisdictional thresholds of the EU Merger Regulation (complemented with referral mechanisms) are generally effective in capturing significant transactions in the EU internal market. The Commission also decided to give its full potential to Article 22 of the EU Merger Regulation by accepting under certain circumstances referrals by Member States, even for transactions which do not meet national merger notification thresholds. Against this background, the Commission accepted a referral of the acquisition of Grail by Illumina in April 2021. The General Court upheld the Commission's decision in July 2022 (Case T-227/21 *Illumina v Commission*).

21 Commission Notice on a simplified procedure for treatment of certain concentrations under Council Regulation (EC) No 139/2004, 14.12.2013 (OJ C366/5) (the 'Notice on Simplified Procedure').

October 2022. This consultation covered a proposed modification to Article 9 of the Implementing Regulation.

In this legal and political context, the current initiative aims to simplify and streamline merger procedures as much as possible – including simplified and non-simplified cases. Any such simplification/streamlining must, however, not come at the expense of an effective merger enforcement. Therefore, this initiative aims at addressing one of the shortcomings identified in the Evaluation.

2. PROBLEM DEFINITION

2.1. What is/are the problems?

The evaluation of procedural and jurisdictional aspects of EU merger control (the "Evaluation") showed that the 2013 Simplification Package has been effective in better focussing the Commission's resources on the most relevant cases and in reducing administrative burden for the businesses involved (i.e. the notifying parties) and Commission alike without negatively affecting the effectiveness of EU merger control. At the same time, it revealed that there is still some room for improvement, although limited. Cases falling under the simplified procedure accounted for more than 77% of the notifications each year since 2018 (2018: 77.0%; 2019: 78.8%; 2020: 79.2%; 2021:78.2%), while in 2013 they accounted for 62.2%. Therefore, as already indicated in the Evaluation, the scope to further simplify and capture more cases under the simplified procedure is limited.

Concretely, the Evaluation made clear that there may be additional cases that are typically unproblematic which are currently not captured by the simplified procedure and that information requirements may be too extensive in certain circumstances. This creates unnecessary burden and costs, for the parties to the concentration and for the Commission, and leads to unnecessary delays. More specifically, there are currently certain categories of cases that are unnecessarily assessed under the normal procedure given that they are typically unproblematic and could instead be assessed under the simplified procedure, benefitting from a faster and more streamlined review. Although this concerns a limited number of cases, it creates unnecessary burden on companies that could benefit from a faster and streamlined review. This burden may be very significant for parties that cannot benefit from the simplified procedure while the case does not merit an in-depth analysis. This initiative aims at addressing this shortcoming.

It should also be noted that if additional categories of cases falling under the simplified procedure are added, they will obviously have an impact on the number of cases treated under the simplified procedure, but also, importantly, on the number of horizontal overlaps and vertical relationships that are assessed under the normal procedure. With regard to cases falling under the normal procedure, all horizontal overlaps and vertical relationships not falling under one of the categories of the Notice on the Simplified Procedure are assessed under the normal procedure. This implies that the notifying parties need to provide detailed information about each of the markets, the Commission needs to assess them and typically, third parties will be asked to respond to questions relating to these markets including in the Commission's market investigation questionnaires. Horizontal overlaps and vertical relationships falling under one of the

categories of the Notice on the Simplified Procedure are not assessed under the normal procedure. This means that the notifying parties do not provide information on these markets or at least provide significantly less information, the Commission does not assess them and third parties do not need to respond to questions about these markets.

Moreover, the simplified procedure can be further streamlined, in particular by reducing unnecessary information requirements. With regard to the normal procedure, it also appears possible to reduce certain information requirements, although to a more limited extent. At the same time, the Notice on Simplified Procedure may not be clear enough in identifying the special circumstances in which cases that meet the requirements of simplified treatment may nonetheless require a more detailed review. This means that certain cases falling under the simplified procedure, due to specific exceptional circumstances, could merit a more detailed review under the normal procedure. However, these circumstances are not sufficiently clear in the Notice on Simplified Procedure and in particular, in the notification forms. Furthermore, while the Implementing Regulation prescribes the format of merger notifications as "[o]*ne signed original on paper*", due to the exceptional measures that have been taken in the context of the Covid-19 pandemic, the Commission has been accepting notifications in digital format, a practice which has been widely preferred by both notifying parties and the Commission alike. Society is becoming increasingly digital. Contributing to accelerate technological change and hyper connectivity by switching to a fully electronic notification system and electronic transmission of documents in general might therefore be appropriate. The current system obliges notifying parties to print thousands of pages and bring them physically to the dependencies of the Commission. This causes an unnecessary negative environmental impact and creates administrative costs for businesses. The reduced need for paper as a result of the electronic transmission of documents has a positive impact on the environment and on sustainable development goal number 12 (responsible consumption)[22], although very limited, and is in line with the Commission's digital Strategy.

In the Public Consultation, several respondents indicated that as regards simplified cases, the information requirements are still disproportionate, and that the Short Form CO (the document by which simplified cases must be notified to the Commission) is not easy to fill in. Regarding normal cases, some respondents voiced concerns about the excessive information requirements in the current Form CO (the document by which normal cases must be notified to the Commission) and the consequent length of the pre-notification process. At the same time, on several occasions, the Commission receives calls to look more in depth into certain transactions with limited or no overlaps between the parties' activities, but which do raise important nascent/potential competition, innovation or other issues.[23]

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22 See United Nations Sustainable Development Goals: https://sdgs.un.org/goals.

23 See European Parliament report on competition policy – annual report 2021, 2021/2185(INI), 25 March 2022, paragraphs 14, 55, 63; Commission Staff Working Document – Evaluation of procedural and jurisdictional aspects of EU merger control, 26 March 2021, SWD(2021)66 final, paragraphs 22(e) and 132; European Court of Auditors, The Commission's EU merger control and antitrust proceedings: a need to scale up market oversight, 2020, paragraph 47;

2.2. What are the problem drivers?

The Evaluation showed that the current legal framework implies that the simplified procedure does not capture all cases that are typically unproblematic and *vice versa* that it may not be clear enough when cases that meet the requirements for simplified treatment require nonetheless a more detailed review. Furthermore, information requirements might at times be too far-reaching for unproblematic cases. In addition, the current legal framework would need to be amended to allow for a fully electronic notification system and electronic transmission of documents in general.

The problems identified above are mainly due to shortcomings in the current legal framework. In particular, the Notice on Simplified Procedure does not cover certain categories of cases, which are currently unnecessarily assessed under the normal procedure given that they are typically unproblematic and could be assessed under the simplified procedure, benefitting from a faster and streamlined review. Moreover, the mandatory notification forms contained in the annexes to the Implementing Regulation require information that may not be necessary in particular for cases falling under the simplified procedure and, to a much lesser extent, for cases assessed under the normal procedure. Finally, the current legal framework does not allow fully electronic notifications, thus creating an unnecessary negative environmental impact and additional administrative costs for notifying parties.

2.3. How likely is the problem to persist?

If the current legal framework is kept in place, the current situation will persist and unnecessary costs and burdens will continue to be borne by notifying parties.

3. WHY SHOULD THE EU ACT?

3.1. Legal basis

EU competition law, including EU merger control, is an exclusive competence of the European Union. The Commission adopted the Implementing Regulation on the basis of the EU Merger Regulation. The Commission published its first notice introducing a simplified merger procedure in 2000. The latest review of the Implementing Regulation and the Notice on Simplified Procedure was carried out as part of the 2013 Simplification Package.

3.2. Subsidiarity: Necessity and added value of EU action

As mentioned above, EU action is necessary as EU competition law, including EU merger control, is an exclusive competence of the European Union.

4. OBJECTIVES: WHAT IS TO BE ACHIEVED?

4.1. General objectives

This initiative aims at revising the Implementing Regulation, with annexes for a revised Form CO, Short Form CO, Form RS and Form RM, as well as the Notice on Simplified Procedure. The general objective of the initiative is to improve EU merger control

procedures which aim at preventing lasting damage to competition in the internal market stemming from anti-competitive mergers, by providing clearer rules and guidance that are fit-for-purpose and simplify/streamline procedures where appropriate to reduce the administrative burden for parties involved and the Commission alike, without increasing the risk of negative effects on the enforcement of EU merger control rules. This will allow parties to get legal certainty more quickly and at a lower cost and will as such be beneficial for their fundamental rights of defence, and will allow the Commission to allocate resources more appropriately.

4.2. Specific objectives

The specific objectives of this initiative are to (i) better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review and (ii) reduce the administrative costs and burdens of the merger review process.

5. WHAT ARE THE AVAILABLE POLICY OPTIONS?

5.1. What is the baseline from which options are assessed?

The baseline from which the options are assessed is the current legal framework regarding merger control by the European Commission. Currently, the relevant legal framework includes (in addition to the EU Merger Regulation) the Implementing Regulation and the Notice on Simplified Procedure (as last updated in 2013).

The baseline scenario would imply to apply the simplified procedure only to the five categories of concentrations identified in paragraphs 5 and 6 of the Commission Notice on a Simplified Procedure as it stands today, without adding new categories and without adding new safeguards. Currently, the simplified procedure can be applied (i) to joint ventures with assets/sales of less than EUR 100 million in Europe, (ii) cases with no horizontal overlaps or vertical relationships, (iii) cases in which the parties' combined market share is below 20% and the parties' market share on each vertically related market is below 30%, (iv) cases in which the parties' combined market share is below 50% with a low increment (defined as an increment resulting in an HHI delta below 150) and (v) cases in which there is a change from joint to sole control[24].

The baseline scenario would also imply to maintain the current notification form (the "Short Form CO") as it stands today in Annex II of the Implementing Regulation, without streamlining the format or adding or removing any questions.

Concerning cases subject to the normal procedure, the baseline scenario would be to maintain the current standard notification form for concentrations, the so-called "Form CO", as it stands today as Annex I of the Implementing Regulation, without streamlining the format, adding or removing any information requirements, or making waivers for certain sections easier.

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[24] This is a general explanation of the current categories of cases falling under the simplified procedure. For the exact definition, please see paragraphs 5 and 6 of Notice on Simplified Procedure.

In addition, under the current legal framework, i.e. the Implementing Regulation, the format of merger notifications is prescribed as "[o]ne signed original on paper". Under the baseline scenario, the temporary practice of accepting notifications in digital format, due to the exceptional sanitary measures that have been taken in the context of the Covid-19 pandemic, would have to be discontinued, resulting in unnecessary burden, costs and delays. The baseline scenario here would be to maintain the current legal requirements regarding transmission of documents, including for the purposes of notifying merger transactions. In relation to the submission of merger notifications, the Implementing Regulation requires "[o]ne signed original on paper".

5.2. Description of the policy options

5.2.1. Introduction and scoping of the options

The Evaluation indicated that there are considerable complexities in achieving significant simplification through a review of the EU Merger Regulation (such as exempting certain transactions from merger review or introducing a system of self-assessment) without compromising the effectiveness or the efficiency of the EU merger control regime.

In light of the results of the Evaluation and the Commission's commitment to focus its detailed investigations on the most relevant cases and reduce administrative burden for those cases which are unlikely to raise competition concerns, the Commission wishes to explore options for further targeting and simplifying the review, in both simplified and, where possible, non-simplified cases without compromising effective merger enforcement.

In this context, several alternative scenarios have been identified and considered, but have been rejected upfront.

Scenario 1: Reform of the EU Merger Regulation. This option would include a reform of the legal framework regarding the substantive assessment of mergers (namely those aspects related to the examination of whether or not a notified concentration significantly impedes effective competition in the internal market − and, if so, how to remedy it). However, the results of the Evaluation did not support this option. In line with the findings of the 2014 White Paper, the evaluation pointed out that the EU Merger Regulation overall provides a good framework for effectively preventing anticompetitive effects of mergers and acquisitions in the internal market, so that improvements are only appropriate on certain specific issues. As such, this option was rejected.

Scenario 2: Setting up a self-assessment system with the possibility of a voluntary notification for selected categories of cases. The Evaluation again did not support this option. It showed that this option would come with issues, related to reducing legal certainty; the problem of undoing closed transactions; the mechanics of the referral system in a voluntary system at EU level; and the fact that a self-assessment system can work for clear-cut criteria such as turnover thresholds but would be more problematic for more subjective criteria, such as potential harm to competition. As such, this option was not upheld.

Scenario 3: Excluding extra-EEA joint ventures from the scope of application of the EU Merger Regulation (a proposal contained in the 2014 White Paper). The Evaluation showed complaints about the requirement to notify joint ventures that have no impact in the EEA, while the option of further streamlining the review of extra-EEA joint ventures was welcomed. However, the Evaluation revealed that excluding extra-EEA joint ventures entirely from the scope of EU merger control entailed the risk that these transactions may fall under different national regimes and therefore trigger multiple notifications in different Member States, which would mean losing the benefit of the one-stop-shop review at EU level of these transactions, increasing burden and costs on notifying parties rather than reducing them. Therefore, the possibility to exclude extra-EEA joint ventures from the obligation to notify was not considered an option. At the same time, given their lack of impact on the internal market, information requirements for these cases should be limited to the maximum extent possible.

In addition to the rejected options listed above, the Evaluation also resulted in a number of valid policy options for further simplification, related to (i) expanding and clarifying the categories of cases treated under the simplified procedure, (ii) streamlining the review of cases treated under the simplified procedure, (iii) streamlining the review of cases treated under the normal procedure, and (iv) electronic transmissions of documents.

In more detail:

i. As regards expanding and clarifying the categories of simplified cases, the Commission's initiative looks to identify new categories of simplified cases, and to introduce a flexibility mechanism that would allow the Commission to treat under the simplified procedure cases which a priori do not fall under any of the simplified treatment categories.
ii. On the streamlining of the review of simplified cases, the Commission is proposing certain categories of simplified cases which would not require any pre-notification contacts. The initiative also looks to reduce the information required in simplified cases (in particular regarding jurisdiction). To that end, the Commission proposes to move for simplified cases to a notification form with a tick-the-box format and less open text.
iii. Regarding the streamlining of the review of non-simplified cases, based on the experience gained by the Commission in its enforcement practice over the years, here the Commission proposes to reduce the information required for some types of non-simplified cases. The Commission also looks to provide clear instructions to notifying parties who plan to request waivers for certain sections of the notification form.
iv. The Commission is currently allowing businesses to notify merger cases electronically echoing Covid-19 restrictions. Per this initiative, the Commission now looks to establish that going forward, notifications of mergers and transmission of documents in general shall take place in principle through digital means – providing for a safe, reliable, environmentally-friendly, and cost-efficient transmission mechanism. The reduced need for paper as a result of the electronic

transmission of documents also entails a positive impact on sustainable development goals number 12 (responsible consumption)[25], although very limited.

The problems identified are mainly due to shortcomings in the current legal framework. In particular, the Notice on Simplified Procedure does not cover certain categories of cases, which are currently unnecessarily assessed under the normal procedure given that they are typically unproblematic and could be assessed under the simplified procedure, benefitting from a faster and streamlined review. Moreover, the mandatory notification forms contained in the annexes to the Implementing Regulation require information that may not be necessary in particular for cases falling under the simplified procedure and, to a much lesser extent, for cases assessed under the normal procedure. Finally, the current legal framework does not allow for fully electronic notifications, thus creating an unnecessary negative environmental impact and additional administrative costs for notifying parties.

The Commission cannot accept a notification under the simplified procedure of a case that does not meet the conditions specified in the Simplified Notice. Similarly, notifications which do not fulfil the information requirements established in the mandatory notification forms may be considered incomplete and, as a result, ineffective. Therefore, soft measures such as guidance to case teams or to notifying parties could not achieve the objectives of this initiative in an effective manner.

5.2.2. Policy options regarding expanding and clarifying the categories of cases treated under the simplified procedure

Three policy options have been identified for this area of simplification/streamlining, which could be pursued cumulatively. The market share thresholds for each option have been chosen based on two criteria: i) market share references contained in the Commission's Horizontal Merger Guidelines and in the Commission's Non-Horizontal Merger Guidelines and ii) the results of the research on intervention cases.

Option 1: Introducing a flexibility clause in the Notice on Simplified Procedure, giving the Commission discretion to treat cases under the simplified procedure. The flexibility clause could be applied to:

a) Cases in which the market share thresholds for the application of the simplified procedure are exceeded only slightly in horizontal overlaps (e.g. 1% or 5%) between the activities of the parties. With regard to the exact threshold for Option 1a, the Commission considered two possibilities: i) to increase the combined market shares by 1 percentage point (i.e., up to 21%) ("Option 1a.i") or by 5 percentage points (i.e., up to 25%) ("Option 1a.ii"). The Commission does not consider it appropriate to introduce a flexibility clause going beyond 25% combined market share for horizontal overlaps because (i) this is the threshold considered in recital 32 of the EU Merger Regulation and paragraph 18 of the Guidelines on the Assessment of Horizontal Mergers as an indication that the transaction is not liable to impede effective competition and (ii) according to the Commission's internal research, there

[25] See United Nations Sustainable Development Goals: https://sdgs.un.org/goals.

have been a number of past intervention cases involving horizontal overlaps with combined market shares close to 25%.

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b) Cases in which the market share thresholds for the application of the simplified procedure are exceeded only slightly in vertical relationships (e.g. 1% or 5%) between the activities of the parties. The Commission considered two possibilities: i) to increase the combined market shares by 1 percentage point (i.e., up to 31%) ("Option 1b.i") or by 5 percentage points (i.e., up to 35%) ("Option 1b.ii"). The Commission does not consider it appropriate to introduce a flexibility clause going beyond 35% for vertical relations because, according to its internal research, there have been a number of past intervention cases involving vertical relations with combined market shares close to 35%.; and

c) Cases of joint ventures with annual current turnover[26] or asset value slightly exceeding the current threshold of EUR 100 million (e.g. up to EUR 150 million) but that raise no competition concerns. The Commission does not consider it appropriate to introduce a flexibility clause going beyond the threshold of EUR 150 million because according to the Commission's internal research, there have been a number of past intervention cases involving JVs with turnover close to EUR 150 million.

Option 2: Adding new categories of cases that could benefit from simplified treatment. In particular, the following categories could be introduced:

a) Cases with highly asymmetric market positions upstream and downstream, with low market shares in one of the vertically related markets (e.g. <5% or <10%) and a maximum market share in the other vertically related market (e.g. <40% or <50%). With regard to the exact threshold for Option 2a, the Commission considered four possibilities: i) a maximum individual or combined market share of 5% in one market and a maximum individual or combined market share of 40% in a vertically related market; ii) a maximum individual or combined market share of 10% in one market and a maximum individual or combined market share of 40% in a vertically related market; iii) a maximum individual or combined market share of 5% in one market and a maximum individual or combined market share of 50% in a vertically related market; iv) a maximum individual or combined market share of 10% in one market and a maximum individual or combined market share of 5% in a vertically related market. A threshold above 50% would not be appropriate, as according to paragraph 17 of the Horizontal Guidelines market shares above 50% may in themselves be evidence of the existence of a dominant market position;

b) Cases with upstream sales share beneath the current threshold (<30%) and low downstream purchasing share (e.g. <5%, <10% or <30%). Several possibilities were considered: i) a maximum purchasing share of 5% and a maximum downstream combined market share of 50%; ii) a maximum purchasing share of 10% and a maximum downstream combined market share of 50%; iii) a maximum purchasing

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[26] The term "current turnover" refers to turnover generated by the joint venture at the time of notification. The turnover of the joint venture can be determined according to the most recent audited accounts of the parent companies, or the joint venture itself, depending on the availability of separate accounts for the resources combined in the joint venture.

share of 5% without limit downstream; iv) a maximum purchasing share of 10% without limit downstream; and v) a maximum purchasing share of 30% without limit downstream; and

c) Cases with limited increments to a pre-existing vertical integration, for instance by aligning vertical cases with horizontal cases under point 6 of the Notice on Simplified Procedure[27]. A threshold above 50% would not be appropriate, as according to paragraph 17 of the Horizontal Guidelines market shares above 50% may in themselves be evidence of the existence of a dominant market position. There is no scope to increase the HHI delta beyond 150, as it should be aligned with the HHI delta for horizontal overlaps; otherwise the market would have to be assessed in any event under the normal procedure. Moreover, the HHI delta should also be aligned with the thresholds considered in paragraph 20 of the Horizontal Merger Guidelines[28].

Option 3: Reviewing the scope and interpretation of the safeguards and exclusions included in the Notice on Simplified Procedure.

Options 1, 2 and 3 are not mutually exclusive and could thus be introduced cumulatively.

5.2.3. Policy options regarding streamlining the review of cases treated under the simplified procedure

Three policy options have been identified for this area of simplification/streamlining.

Option 1: Maintaining the current information requirements (i.e. not adding or removing questions) but replacing the Short Form CO by a tick-the-box form with a more streamlined formatting.

Option 2: Introducing a streamlined review of jurisdiction in simplified cases, with a tick-the-box list of statements on the basic facts relevant for the jurisdictional assessment, that notifying parties would need to complete by ticking the relevant boxes but without the need for them to provide underlying evidence. This would reduce certain information requirements and consequently reduce or remove the need for pre-notification contacts on questions of jurisdiction. The assessment of jurisdiction is not related to the identification of cases which may potentially raise competition concerns, but to ascertain whether the Commission is competent to review a case. The assessment of jurisdiction entails currently an unnecessary burden on the notifying parties and the Commission for cases which, from experience, clearly do not raise any competition concerns, such as extra-EEA joint ventures. The streamlining of the assessment of jurisdiction on these

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[27] According to point 6 of the Notice on Simplified Procedure, the Commission may also apply the simplified procedure where two or more undertakings merge, or one or more undertakings acquire sole or joint control of another undertaking, and both of the following conditions are fulfilled: (i) the combined market share of all the parties to the concentration that are in a horizontal relationship is less than 50 %; and (ii) the increment (delta) of the Herfindahl-Hirschman Index (HHI) resulting from the concentration is below 150.

[28] Paragraph 20 establishes that it is unlikely to find horizontal concerns in a merger with HHI between 1000 and 2000 and a delta below 250 or a merger with a post-merger HHI above 2000 and a delta below 150.

cases would lead to a significant reduction in information requirements and would allow notifying parties to make use of the super simplified procedure whereby the parties can notify with no pre-notification, without any risk of under-enforcement.

Option 3: Introducing a streamlined review of the competitive assessment:

- for simplified cases without overlaps between the activities of the parties, this would be a tick-the-box list of statements on the basic facts relevant for the assessment, that notifying parties would need to complete by ticking the relevant boxes but without the need for them to provide underlying evidence, thereby reducing certain information requirements and consequently reducing or removing the need for pre-notification contacts on the assessment.
- for all other categories of simplified cases (i.e. other than those that are simplified because of a lack of overlap between the activities of the parties), review would also be streamlined in the sense that the Short Form would include template tables for the parties to fill in.

Options 1, 2 and 3 could in principle be introduced cumulatively. Options 2 and 3 would entail limiting certain information requirements and would therefore constitute an alternative to option 1 for certain parts of the notification forms.

5.2.4. Policy options regarding streamlining the review of cases treated under the normal procedure

Two policy options have been identified for this area of streamlining the review process.

Option 1: Introducing modifications to the structure of the current notification form, such as separating sections for factual information and for advocacy (where the Parties could summarize their main arguments, on a voluntary basis) and introducing a table with an overview of all affected markets.

Option 2: Identifying opt-out sections in section 8 of the Form CO to be waived by the Commission at the request of the Parties.

Proposals made **under Option 1**, in particular separating sections for factual information and for advocacy, were not well received in the Public Consultation of 2021. The vast majority of replies received considered this separation as having no or negligible effects on administrative costs and burden. In reaction to these answers, modified and new proposals to modify the structure of the Form CO were proposed and tested in the Consultation of Stakeholders of 2022.

These proposals include limiting the information requirements for markets that benefit from the flexibility clauses in point 8 of the draft revised Notice on Simplified Procedure, in order to streamline the relevant sections of the current Form CO, where these markets are considered affected and the applicable information requirements are much more extensive. Further modifications to streamline the current Form CO are the elimination of certain information requirements in Section 8 of the current Form CO, concerning "Cooperative Agreements", "Trade between Member States and imports from outside the EEA", and "Trade associations", as well as introducing tables requiring that information

on potential horizontal overlaps , thereby homogenising information requests on pipeline products in sectors where innovation is a key parameter of competition.

Under Option 2 clearer instructions are provided to notifying parties how to request waivers for certain Sections or sub-Sections of the draft revised Form CO, as well as identifying the parts of the draft revised Form CO which are particularly suitable for a waiver request (including several information requirements from Section 8 of the current Form CO).

Waivers are already part of the current notification process but are not currently being requested in many cases. The current Form CO provides in its introduction general guidance on when, how and for what information typically a waiver can be requested by the notifying party or parties (1.4.g), and points in a very scattered way to information requested in the Form CO which is particularly suitable for a waiver request. However, the Form CO does not highlight these instances in any obvious or specifically visible manner. Instead, the encouragement to request a waiver in relation to certain information requirements is included only in nine footnotes in the current Form CO. This may have contributed to the fact that notifying parties have seldom made use of this opportunity to save time and effort in filling in the Form CO.

In the revised Form CO, a new section on waivers would provide more prominence to the possibility of requesting waivers and a stronger encouragement for notifying parties to make use of this possibility. The new section on waivers would set out two general conditions for waiver requests to be considered favourably by the Commission: (i) the notifying parties give adequate reasons why the relevant information is not reasonably available and provide best estimates for the missing data; (ii) the notifying parties give adequate reasons why the relevant information is not necessary for the examination of the case. If one of these two conditions were fulfilled, the notifying party would have a good chance to obtain the waiver.

The new specific section on waivers would also clearly outline which parts of the Form CO are particularly suitable for a waiver request. For instance, a waiver for the entire chapter 10 is proposed, which is about product differentiation and closeness of competition.

As a safeguard against under-enforcement, however, the Commission would retain the right to ask for the information during the administrative procedure should this become necessary to carry out a complete assessment of the case. As before, waivers would be granted following a case-by-case assessment, but the clarified process would make it more likely that notifying parties request waivers and that the Commission ultimately grants them.

5.2.5. Policy options regarding electronic transmissions of documents

Due to the exceptional sanitary measures taken in the context of the Covid-19 pandemic, the Commission temporarily accepts and in fact, encourages, merger notifications in digital format. However, following the submission of the electronic notification, in order to comply with the existing Implementing Regulation, notifying parties are still obliged to deliver a duly signed paper copy of the notification to the Commission, without delay.

Two options have been identified, taking advantage of DG Competition's experience regarding electronic notifications, to further promote the Commission's digital transformation and to simplify the notification process for the notifying parties and the general exchange of case-related documents between the Commission and external stakeholders.

Option 1: A system of electronic notifications followed by paper originals without delay (i.e. as soon as possible).

Option 2: Accept fully digital transmission of documents, including transmission of notifications, using digital signatures.

The two options are alternatives.

As far as electronic notifications are concerned under both policy options, these would initially be introduced using the Commission's web-based exchange platform, eTrustEx. eTrustEx is a corporate application and serves as a secure communication channel to send documents to DG Competition. eTrustEx (which will soon be called "EU Send") supports message encryption, message integrity through the use of checksum algorithms, authentication via EU Login and traceability. The platform has been in use for more than two years in competition cases and the two policy options mentioned above entail no further adaptation of the Commission's IT systems or additional costs. More information on eTrustEx can be found here.

Any given submission and its corresponding signature must be in the same format and there must be a strong link between the two. For instance, a USB drive containing 1 million documents cannot be considered as validly signed if it is hand-delivered to the Commission together with a hand-signed cover page. In this case, the link between the electronic files and the paper cover page that contains the signature is not strong enough.

Therefore, Option 1 requires a hand signed paper copy of the complete submission to be hand delivered or sent to the Commission by registered post. Under option 2, where a notification, including annexes (or any other documents), is provided to the Commission in electronic format and is electronically signed with a valid digital signature, no paper copy is required.

In addition, under Option 2, it may be appropriate for the Commission to accept, as a back-up solution, a hand signed paper copy of the complete submission, to be hand delivered or sent to the Commission by registered post. Option 2 remains the "digital by default" option and a paper notification may be accepted only exceptionally, for instance, where the notifying party cannot possibly sign electronically, or the validity of the digital signature cannot be verified by the Commission.

6. WHAT IS THE IMPACT OF THE DIFFERENT POLICY OPTIONS?

This section presents the main impact of the policy options described in Section 5.2 compared to the baseline scenario (which involves no change to any of the Commission's rules). These policy options would primarily affect undertakings that have to comply with the provisions of EU merger control law. Indirectly, the policy options would also

affect EU citizens and undertakings that benefit from effective EU merger control. Other important stakeholders are industry and business organisations; consumer associations; formal and informal associations of professionals in EU competition law and policy; NCAs, ministries and other government bodies in charge of competition law and policy in Member States; and academics.

The following sub-sections assess the impact of the different policy options on: (i)the internal market. EU competition policy has contributed significantly over the years to the competitiveness of the EU economy and European businesses. It helps create the conditions for growth, promotes efficiency and encourages innovation. Strong competition between companies foster innovation that is key for economic growth, the creation of jobs and to continue having leading industries in different sectors. Moreover, competition is of paramount importance to keep low prices for consumers, thus contributing to fairness. In this vein, the academic community of economists has pointed to emerging empirical evidence that recent decades have been characterised by a trend towards higher profit margins and more concentrated markets, in particular in the US, leading to more inequality and lower wages. This section assess whether the different policy options could create significant risks of under-enforcement (i.e. not intervening in cases that would create competition concerns), thus having a negative impact on the internal market; (ii) undertakings that have to comply with the provisions of EU merger control law and the enforcement authority (i.e. the Commission); (iii) digitalisation; and (iv) environmental issues. The evidence gathered during the impact assessment, notably the feedback from the stakeholders and NCAs, shows that the different policy options would not have any impact on social issues, SMEs, and fundamental rights. In particular, with regard to impact on SMEs, an undertaking qualifies as an SME when it has an annual turnover of EUR 50 million or less based on its approved accounts.[29] By contrast, the EU Merger Regulation captures concentrations between undertakings with much higher turnovers (at least EUR 100 million in the EEA according to Article 1(2) and 1(3) of the EU Merger Regulation). It is thus extremely unlikely that the EU Merger Regulation (and the policy options discussed below) would apply to concentrations involving SMEs. These areas are therefore not further discussed. As regards the impact on competitiveness, overall the reduction in administrative burden for businesses involved will make them more efficient preparing for and going through the merger review process, thereby making them more competitive. However, given the small number of businesses involved (in the hundreds) in a given year, the overall impact is likely to be extremely limited and therefore will not be further discussed.

The assessment of the impact of the different policy options is subject to limitations, which are similar to the limitations faced during the evaluation of the current rules.

In particular, it proved impossible to collect quantitative evidence on the costs and benefits of each of the policy options identified.[30]

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29 See Recommendation 2003/361/EC, Annex, Article 2.

30 The difficulty in quantifying the costs and benefits had already become apparent during the Commission's evaluation of selected procedural and jurisdictional aspects of EU merger control

It should be noted from the outset that, while savings for businesses involved in a notification (notifying parties) may be significant, the aggregate impact of this initiative on businesses in Europe is limited, given the relatively small number of companies compared to the number of overall existing companies that notify a transaction to the Commission every year: in the last 5 years, there were on average less than 400 notifications per year, which include most often only one notifying party. Moreover, the additional number of cases captured by the simplified procedure will be limited.

More specifically, with regard to savings for the parties to a concentration, the costs of an EU merger procedure include notably those resulting from preparing, drafting and submitting an EU merger notification and from waiting for approval before implementing the transaction. These costs may vary significantly depending on the scope and size of the transaction, the number of markets involved or the complexity of the case. Due to those variations, the Commission has only been able to use proxies for cost reductions. The questionnaire for the Public Consultation gave respondents the opportunity to assess the impacts of the proposed policy options in terms of reducing administrative burdens and costs for businesses involved on a scale ranging from "*no or negligible reduction*" to "*moderate*" to "*significant reduction*". At the same time, respondents could add free-text answers to such questions and were invited to provide further information.

The Commission has attempted to quantify in monetary terms the cost savings for businesses, asking stakeholders on several occasions to quantify these benefits and cost reductions. Questions were included in the Public Consultation and the Commission also sent more targeted follow-up questions by email to stakeholders that had replied to the Public Consultation. In particular, the Commission asked a number of law firms and associations representing multiple law firms and businesses that had stated in their replies to the Public Consultation that the Commission's proposals would limit the burden of businesses related to merger control to provide quantitative evidence for their statement. Even following a reminder sent to these respondents, the Commission only received limited replies, which do not include sufficient information or data to accurately estimate costs savings in terms of time or money. In this regard, an association of law firms explained that *"estimating costs related to M&A transactions is a nearly impossible task. The cost of a transaction will be very case-specific, and very much depend on the industry, the parties, the complexity of the case, the market dynamics, the timeline, the outside counsels involved"*.

Only two respondents provided rough estimates of the costs of a simplified procedure and one respondent provided rough estimates of the costs of a normal procedure. On the costs of a simplified procedure, while the first respondent estimated that on average a simplified procedure implies EUR 115 000 in costs of legal fees, an amount that according to this respondent should probably be doubled to take into account the costs for preparation and support provided internally by the parties to the concentration, the second respondent provided a largely different amount, estimating that a simplified procedure costs generally EUR 50 000. These significant differences between only these

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(2016-2021). See Commission Staff Working Document – Evaluation of procedural and jurisdictional aspects of EU merger control, 26 March 2021, SWD(2021)66 final, para. 75.

two replies show the inherent difficulties of quantifying costs with any precision. The only respondent that provided data for a Phase 1 non-simplified procedure estimated that such a procedure costs on average EUR 700 000 in legal fees plus internal costs.

The respondents mentioned that in terms of cost savings, *"a further simplification of the merger rules as envisaged by the current reform would likely have a significant impact"* One respondent referred in this context to a reduction "*in terms of the number of business people involved, and the timing for the preparation and the pre-notification phase",* for which it estimates a reduction of 1 month in some cases. Another respondent mentioned in this context that *"Even a week saved in pre-notification could save several thousands of Euros in legal fees for a client".*

Overall, while it is clear that it is impossible to quantify costs savings precisely, it can be concluded that as a result of the simplification and streamlining of merger control procedures, for each case that would fall under the simplified procedure, and possibly also the non-simplified procedure, the notifying parties could save several hundreds of thousands of euros. This was confirmed by the large majority of private stakeholders that considered that the introduction of the preferred option would be beneficial and consider that it would bring a moderate to significant reduction of administrative burden and costs for businesses in response to the Public Consultation. Saving several hundreds of thousands euros is a significant cost reduction for the individual companies involved in the notification of a case.

The impact of electronic notifications and transmission of documents is expected to be significant as this concerns all cases, whether simplified or not. As the notifying party can be based anywhere outside Brussels, it is very challenging to calculate the cost of posting paper originals to Brussels (as is currently required), or the actual delay incurred by printing and posting a notification to the Commission. In an attempt to provide an alternative quantification methodology, the Commission was able to extract statistics on the size of notifications as these are registered in DG Competition's Case Management IT tool. From 1/9/2021 to 1/9/2022, the total size of 386 registered notifications was 249 245,03 megabytes. resulting in 646 megabytes on average per notification. This number is aligned with case-related experience whereas the notification of a simplified case could contain 2 000 – 3 000 pages and that of a non-simplified case could contain up to 20 000 pages. Therefore, the preferred option has a significantly positive impact in terms of costs and on the environment as these amounts of paper would not have to be printed and posted to Brussels for a merger transaction to be notified. Against this background, the present impact assessment relies to a significant extent on qualitative evidence and especially on the feedback of stakeholders and NCAs. The feedback of stakeholders and NCAs is of particular importance. Companies subject to EU merger control and law firms involved are the primary "users" of the Notice on Simplified Procedure and the Implementing Regulation and its annexes containing notification and other forms. They are the ones with relevant practical experience on the impact of the different rules. NCAs have experience in merger control in their respective Member States. The views of stakeholders and NCAs were sought in the context of two public consultations. NCAs were also frequently consulted in the context of Merger Working Group meetings (*i.e.*, regular meetings between the Commission and the NCAs).

The Commission analysed carefully but critically all stakeholder feedback, recognising that not every view reflects the opinion of all stakeholders. The Commission sought to confirm whether a particular view was held by all or by only specific categories of stakeholders.

In addition to the feedback received from stakeholders, several internal work streams were launched to assess the impact of different policy options in each simplification/streamlining area.

First, the Commission carried out extensive internal research in order to assess the proposals made. In particular, the Commission reviewed: (i) the intervention cases[31] in 2015-2020 in order to assess the risks of introducing new categories of simplified cases and (ii) all normal (non-simplified) cases in January 2020-June 2021 in order to quantify the benefits of the introduction of new categories of simplified cases.[32] The research on intervention cases covers the period from 2015-2020 to ensure a sufficient number of cases is analysed, as the number of intervention per year is limited. The reach on the number of horizontal overlaps and vertical relationships on normal cases that would fall under one of the categories of the simplified procedure is limited to the period from January 2020 to June 2021, as it includes several thousands of horizontal overlaps and several thousands of vertical relationships.

It should be noted that a case can be treated under the simplified procedure only if all horizontal overlaps and vertical relationships fall under at least one of the categories of cases included in the Notice on Simplified Procedure. If only one horizontal overlap or vertical relationship exceeds the thresholds established in the Notice, the entire case should be assessed under the normal procedure, even if the majority of horizontal overlaps and vertical relationships falls under one of the categories of the simplified procedure. Under the normal procedure, each horizontal overlap or vertical relationship falling under the established threshold does not need to be assessed in detail in the final decision. Therefore, increasing the threshold also have an impact on burden reduction on normal cases.

Second, the Commission modified the internal data collection used in simplified and normal cases in order to gather relevant information on current cases. For instance, the Commission calculated the total number of requests for information sent in pre-notification in simplified cases and the number of questions on jurisdictional issues and on substantive assessment.

Regarding cost savings, this section focuses on i) calculating the number of additional cases that would be captured by the simplified procedure, ii) calculating the number of horizontal overlaps and vertical relationships that will not have to be assessed under the normal procedure and iii) reporting on the feedback provided by respondents to the Public Consultation.

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31 Namely, prohibitions, conditional approvals and withdrawals of notifications in Phase II.

32 The Commission used this research to estimate the number of unproblematic cases and/or markets that would have benefitted from a simplified/streamlined review based on the new categories proposed.

6.1. Expanding and clarifying the categories of simplified cases falling under the simplified procedure

6.1.1. Impact on the internal market

The impact assessment shows that Option 1 would have a neutral impact on the internal market. Different thresholds can be considered for the flexibility clause (i.e. 1% or 5% above the current thresholds for horizontal overlaps or vertical relations). The Commission assessed the impact of introducing the highest threshold. Given that introducing the highest threshold would not have any significant impact on the internal market, it is not necessary to assess the impact of introducing a lower threshold, as its impact would be smaller by definition.

Regarding Options 1a and 1b, in response to the Public Consultation, private stakeholders and the very few public authorities that replied expressed unanimous support for the introduction of a flexibility clause for cases in which the current market share thresholds of simplified cases are slightly exceeded by up to 5% (i.e. 20-25% combined share for horizontal overlaps and 30-35% individual or combined share for vertical relationships), as these cases are perceived as generally unproblematic.[33] Moreover, a number of stakeholders called for even greater flexibility in applying the simplified procedure either by increasing the flexibility thresholds further (e.g. up to 30% combined share for horizontal overlaps) or even giving the Commission the discretion to treat under the simplified procedure any case (without market share limit), if it is clear that the transaction will not have any appreciable effect on competition. In response to the Consultation of Stakeholders, both private and public respondents expressed unanimous support for the introduction of a flexibility clause for horizontal overlaps with combined market shares between 20 and 25%. Moreover, similar to the Public Consultation, a few private stakeholders called for even greater flexibility for the Commission, by increasing the flexibility thresholds further (e.g. up to 30% for horizontal overlaps) or even to give the Commission discretion to treat under the simplified procedure any case in which it is clear that the transaction will not have any appreciable effect on competition. However, as explained in section 5, the Commission does not consider it appropriate to introduce a flexibility clause going beyond 35% for horizontal overlaps.

As regards horizontal overlaps, the internal research on intervention cases shows that none of the 127 cases in which the Commission intervened in the period 2015-2020 would have completely fallen under the simplified procedure with an application of Option 1a, but some of the affected markets would have (see Annex 5). Looking individually at all the markets in which the Commission intervened, 23 cases (18%) out of the total of 127 intervention cases presented some markets with horizontal overlaps with a combined market share below 25%. However, had the proposed flexibility clause already been in place, it would have been very unlikely that any of these cases would

[33] In this regard, the French Competition Authority has pointed out in its reply to the public consultation that in France the threshold to treat cases under the simplified procedure is fixed at 25% for horizontal overlaps.

have been treated under the simplified procedure or any of these markets would have escaped an in-depth review by the Commission. In each of these cases, a number of easily identifiable factors were present which would likely have led the Commission to look closely at the effects of the respective transaction even on those markets where the market shares remained below the level of the proposed flexibility clause. The factors that led the Commission to intervene in these cases were the following: (i) market shares were high in certain segments or under certain market definitions, (ii) there remained less than 3 competitors in the market, (iii) market shares were higher in previous years, (iv) market shares were high in several Member States, (v) market shares were completely unreliable, (vi) one of the parties was a recent entrant and/or (vii) there were overlaps between pipeline projects.[34] For a detailed assessment of the main findings, see Annex 5. In any event, to mitigate further any risk that potentially problematic cases or markets might escape review under the non-simplified procedure further to the introduction of a flexibility clause, additional safeguards have been introduced in the revised notification form covering these cases.[35]

As regards vertical relationships (option 1b), the internal research also showed that in three intervention cases in the period 2015-2020 (2% of the total number of interventions cases in this period) the Commission intervened when a vertical link existed between the activities of the parties and their combined or individual share in the upstream or downstream markets was 30-35%. However, none of these cases would have completely fallen under the simplified procedure with the flexibility clause, as there were other markets with higher market shares. Moreover, the flexibility clause would not have had any impact on any of the markets in which the Commission intervened, as in each of the three cases concerned, the Commission intervened in markets which presented higher market shares depending on segments, metrics or geographies (national or local markets) and the remedy covered all markets. A more detailed assessment is provided in Annex 5.

Option 1c concerns the introduction of a flexibility clause for joint ventures with annual current turnover or asset value slightly exceeding the current threshold of EUR 100 million but that raise no competition concerns.

In response to the Public Consultation, the vast majority of private stakeholders and public authorities who responded expressed support for the introduction of a flexibility clause for cases of joint ventures with turnover or asset value up to EUR 150 million, because these cases are perceived as generally unproblematic. In response to the Consultation of Stakeholders, both private and public stakeholder respondents expressed unanimous support for the introduction of a flexibility clause for joint ventures with

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34 There were interventions in markets where the combined market shares were below 20%, showing that the Commission was able to intervene even if the market fell, already at the time, *prima facie* under the simplified procedure.

35 The proposed new tick-the-box form asks for market shares for the last 3 years for all relevant markets/segments. Moreover, additional safeguards can and should be introduced in the Notice on Simplified Procedure for situations in which (i) there remain less than three significant competitors, (ii) one of the Parties is a recent entrant or (iii) there are pipeline overlaps. The tick-the-box should then have a new section on safeguards which would explicitly request the relevant information. For more details, see option 3 on safeguards.

annual current turnover and asset value in the EEA between EUR 100 and EUR 150 millions.

The internal research on intervention cases (see Annex 5) shows that only one of the 127 cases in which the Commission intervened in the period 2015-2020 would have fallen under Option 1c (i.e., joint ventures with annual turnover or assets transferred with value between EUR 100 and 150 million). However, it is unlikely that this case (or any similar cases in the future) would be treated under the simplified procedure and intervention would be avoided. The draft revised Short Form CO requires notifying parties to provide information on market shares for any horizontal overlap and/or vertical relationship between the activities of the parties to the concentration, even if a joint venture falls under the flexibility clause. This information would allow the Commission to identify any possible competition issues and ultimately decide to assess the case under the normal procedure if needed. A similar safeguard exists today in paragraph 14 of the Notice on Simplified Procedure regarding joint ventures with yearly EEA turnover or asset value in the EEA of less than EUR 100 million. The draft revised Notice on Simplified Procedure repeats this safeguard in paragraph 13.

The impact assessment shows that Option 2 would have a neutral impact on the internal market. Different thresholds can be considered for the new categories of simplified cases for certain vertical links considered. This section assesses the impact of introducing the highest threshold considered in the context of this impact assessment. Given that introducing the highest thresholds would not have any significant impact on the internal market, it is not necessary to assess the impact of introducing lower thresholds, as its impact would be smaller by definition.

Option 2a proposes to include in the Notice on Simplified Procedure cases with highly asymmetric market positions upstream and downstream, with low market shares in one of the markets (<5% or <10%) and a maximum market share in the other market (<40% or <50%). The rationale for introducing this category is based on the guidance provided in the Non-Horizontal Merger Guidelines, which focuses on the incentives to foreclose based on the profitability of a foreclosure strategy which takes into account the market positions in the different markets. In response to the Public Consultation, private stakeholders expressed quasi-unanimous support for the introduction of this category, as they consider these cases as generally unproblematic, and advocated for introducing the highest thresholds proposed (i.e. 50% upstream or downstream and 10% in the other vertically related market).[36] However, the French Competition Authority took a more cautious approach considering that it is not possible to conclude from the outset that a foreclosure strategy is not feasible because market shares in the upstream or downstream market are low, as this is a complex analysis in which several factors should be

[36] In the IIA four options were proposed: 1.- 50% upstream and 10% downstream or vice versa (i.e. 10% upstream and 50% downstream); 2.- 50% upstream and 5% downstream or vice versa; 3.- 40% upstream and 10% downstream or vice versa; 4.- 40% upstream and 5% downstream or vice versa. A threshold above 50% would not be appropriate, as according to paragraph 17 of the Horizontal Guidelines market shares above 50% may in themselves be evidence of the existence of a dominant market position.

considered. In a similar vein, the German Federal Bar considers that an important input on the upstream market can be used to grow the position on the downstream market.

The internal research on intervention cases shows that only one of the 127 cases in which the Commission has intervened in the period 2015-2020 could have fallen under the category of high market share upstream and low market share downstream, if the highest thresholds proposed in the IIA were introduced (i.e. 50% market share upstream and 10% downstream)[37], and only if exclusively the market shares provided by the parties are considered. It should be noted however that market shares provided by the parties were unreliable and the Commission raised concerns based on other estimates with significantly higher market shares (between 45% and 55% for the upstream market and between 25% and 30% for the downstream market). In addition, the simplified procedure should not apply to cases in which market shares are unreliable. Moreover, the Commission intervened in the same market based on horizontal concerns. Finally, no intervention market would fall under the category of high market shares downstream (up to 50%) and low market shares upstream (up to 10%). Therefore, introducing this category, even with the highest thresholds, together with adequate safeguards, would not risk missing any problematic case or market.

In any event, as pointed out by the French Competition Authority and German Federal Bar, in very exceptional circumstances an assessment of the incentives may be appropriate. Including these types of cases under the flexibility clause rather than a new category of simplified cases would give the Commission the discretion to use the simplified procedure only if it is clear that the transaction raises no competition concerns. This would further reduce any potential risk.

The private and public stakeholders that responded to the Consultation of Stakeholders expressed support for the introduction of this category under the flexibility clause. Certain private stakeholders insisted that these types of cases should become categories of simplified cases and not simply be included under the flexibility clause. However, public stakeholders welcomed the introduction of these cases under the flexibility clause and not as a default category. They noted that a strong position upstream or downstream can be leveraged to grow quickly on the other market and the risk of foreclosure is a complex analysis in which several factors should be considered and therefore, the Commission should retain sufficient flexibility to assess these cases under the normal procedure, in particular if some of the safeguards or exclusions apply.

Option 2b consists in including in the Notice on Simplified Procedure cases with upstream sales share beneath the current threshold (<30%), low downstream purchasing share (<5% or <10%) and maximum downstream sales shares (<50%) or without limit downstream.

In the Public Consultation, private stakeholders and public authorities expressed unanimous support for the introduction of this category, as they consider that these cases

[37] With lower thresholds (50% upstream but 5% downstream) no case would have fallen under this category.

are generally unproblematic. In fact, one stakeholder advocated for the introduction of a higher threshold for the purchasing share, as it considered a 10% purchasing share as too low.[38] This stakeholder further explained that for customer foreclosure theories of harm only the purchasing share is relevant, as the market shares in the downstream market are not an indicator of the importance of a company as a customer. Following this reasoning, this stakeholder suggested that no upper limit be introduced for the market shares in the downstream market and that the purchasing share should be increased to 30%. In the same vein, the majority of respondents consider that this category of cases is unproblematic regardless of the market share in the downstream market. The Commission agrees that the market share in the downstream market is not always informative of the importance of a company as a customer. For example, a company may have an important market share in a downstream market clearly above 50%. This company purchases an input that is used for several applications. The application in which this company is active represents only a fraction of the use of the upstream input (e.g. <5%). This company would be a very small customer of the upstream input which clearly shows that the downstream market share is not a reliable indicator of the importance of a company as a customer. Instead the purchasing share is the appropriate indicator to ascertain the importance of a company as a customer as it represents the proportion of the input that it purchases.

The internal research on intervention cases shows more generally that interventions based on customer foreclosure are very rare and that the Commission did not intervene on any market that would fall under this category in the period 2015-2020. In fact, without any limit on the downstream market and increasing the threshold to 30% for the purchasing share, this category would not capture any market in which the Commission intervened.

Private and public stakeholders responding to the Consultation of Stakeholders expressed unanimous support for the introduction of this category without any limit on the downstream market and with a threshold of 30% for the purchasing share.

Option 2c consists in including in the Notice on Simplified Procedure cases with limited increments to a pre-existing vertical integration, for instance by aligning vertical cases with horizontal cases under point 6 of the Notice on Simplified Procedure.

In response to the Public Consultation, private stakeholders and public authorities expressed unanimous support for the introduction of this category, as they consider that these cases are generally unproblematic. In fact, some stakeholders advocated for the introduction of a higher threshold for the HHI increment (e.g. up to 250) or suggested to use market share ranges instead of the HHI increment (e.g. a maximum increment of 4% if combined shares are below 35%, maximum increment of 3% if combined shares are below 40%, etc.). However, the Commission considers that the HHI delta achieves the same objective, given that, considering the same increment, the resulting HHI delta is

[38] The IIA consulted on several options: while the limit upstream is always 30%, the Commission consulted on two different possibilities for the limit downstream -50% or 100%- and two possibilities for the limit for the purchasing share -5% or 10%-.

lower if combined market shares are lower. Therefore, the current limit of 150 HHI delta already allows a bigger increment if combined market shares are moderate.

In the Consultation of Stakeholders, private and public stakeholders responding to the Consultation of Stakeholders expressed support for the introduction of this category. A few private stakeholders advocated for higher HHI delta thresholds so that more concentrations become simplified cases. The internal research on intervention markets shows that the Commission did not intervene on any market that would fall under this category in the period 2015-2020. However, there is no scope to increase the HHI delta, as it should be aligned with the HHI delta for horizontal overlaps; otherwise the market would have to be assessed in any event under the normal procedure. Moreover, the HHI delta should also be aligned with the thresholds considered in paragraph 20 of the Horizontal Merger Guidelines, as explained in section 5.

Option 3 consists in reviewing the scope and interpretation of the safeguards and exclusions included in the Notice on Simplified Procedure, and adding safeguards in a new Section 11 of the Short Form CO.

Paragraph 8 *et seq* of the Notice on Simplified Procedure describes certain "safeguards", which are factors or circumstances that could be taken into consideration by the Commission to revert a case to a full assessment under the normal procedure even if the thresholds for the application of the simplified procedure are met.

However, some of these factors and circumstances are very general (e.g. the market is already concentrated or the concentration would eliminate an important competitive force) and difficult to spot or assess with the information currently provided in the Short Form CO.

For this reason, the Commission explored whether additional safeguards and exclusions would be required to ensure that the Commission does not treat under the simplified procedure cases which would merit a closer look. Under this option, the Notice on Simplified Procedure would include more concrete factors and circumstances. The most important factors would be mirrored in the notification forms.

In particular, in the Public Consultation the Commission asked about the potential impact on the internal market for the following factors:

(a) Number of competitors remaining in each market.
(b) Strength of the competitors remaining, including whether their market share exceeds the increment brought about by the transaction.
(c) Shares thresholds are exceeded in terms of capacity shares or production shares.
(d) One of the parties to the concentration is a recent entrant (entered the market in the last three years).
(e) One of the parties to the concentration is an important innovator in the overlapping markets.
(f) The transaction gives rise to pipeline-to-pipeline or pipeline-to-marketed products overlaps.
(g) Vertical relationships exceed thresholds in distant levels of the value chain.

(h) The activities of the parties to the concentration overlap in highly differentiated products.

The replies received to the Public Consultation regarding the need to introduce new safeguards were somewhat contradictory. While the majority of respondents consider that the current safeguards and exclusions foreseen in the Notice on Simplified Procedure are sufficient, they also consider that the factors listed above can have a potential or likely impact on competition in certain cases.[39]

Some stakeholders consider that none of the factors taken in isolation could have an impact on competition and/or that the mere fact that a case falls below any of the market share thresholds foreseen in the Notice on Simplified Procedure suffices to conclude that it is not problematic in the vast majority of cases.

Conversely, a number of stakeholders consider that additional safeguards should be included for the digital economy, where dynamic aspects and potential competition play a bigger role than just looking at static market shares. Other stakeholders mentioned that additional safeguards could be introduced for vertical transactions involving nascent competitors or transactions which would allow to leverage on data. However, these observations were rather unspecific, without any more concrete proposals.

Also the internal research on intervention cases (see Annex 5) showed that in the period 2015-2021 the Commission intervened in certain markets potentially falling under the new categories proposed or even in no affected markets in which at least one of the following factors was present:

(a) Where less than three significant competitors remained post-merger;
(b) Where there were pipeline to pipeline or pipeline to marketed product overlaps;
(c) Where market share thresholds were exceeded significantly in certain segments and/or Member States;
(d) Where market share thresholds were exceeded in previous years;
(e) Where market shares were difficult to calculate / unreliable;
(f) Where at least one of the Parties was a recent entrant.

Cases in which these factors are present would in most cases already be captured by the general safeguards and exclusions currently included in the Notice on Simplified Procedure. However, it would be beneficial to have more concrete language for the most relevant factors which led to interventions in some markets or which are considered in the Horizontal or Vertical Merger Guidelines, without eliminating the more general safeguards already listed in the Notice, which give the Commission the necessary flexibility for unforeseen circumstances.

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[39] With regard to the factor that the activities of the merging parties overlap in highly differentiated products, half of the respondents consider that this factor will have an unlikely impact on competition in all cases, while the other half consider it may have a potential or likely impact in certain cases.

Moreover, some of the most important circumstances identified above are not systematically checked currently, as the notification forms do not require specific information on them. Although the general safeguards contained in the Notice on Simplified Procedure would allow to revert a case to the normal procedure under all the circumstances identified in the new safeguards, the current notification forms do not require specific information on them. To be fully effective, it should be checked systematically in the notification forms whether any of the factors which led the Commission to intervene in certain markets are present. Without this information, the Commission is not in a position to check systematically whether these special circumstances are present. This is a shortcoming of the current forms. These safeguards will be even more important once the new categories of simplified cases are introduced, as thresholds for treatment under the simplified procedure will be increased.. Therefore, option 3 would help to better target the merger review process, provided that the safeguards included are objective, concrete and not too data-intensive.

In view of the results of the internal research and the feedback received in reply to the Public Consultation, the Commission came up with some new language in a section II.C. of the Notice on Simplified Procedure and a new Section 11 of the Short Form CO, that it tested during the Consultation of Stakeholders, per which it shared the redrafted legal texts with stakeholders for their input. The Commission prepared the list, among other things, drawing from the special circumstances mentioned in the Horizontal and Non-Horizontal Merger Guidelines. Moreover, in the research on intervention cases, the Commission identified additional special circumstances that led to interventions in cases where market shares would be below or close to the thresholds established in the Notice on Simplified Procedure. By way of example, Section 11 included the following safeguards and exclusions (in a "yes/no" format):

(a) Any of the parties to the concentration has significant non-controlling shareholdings (i.e. above 10%) or cross-directorships in companies active in the same markets as any of the other parties or in vertically related markets (e.g. the acquiring undertaking has a non-controlling minority shareholding or common directors in an undertaking active in the same market as the target).
(b) One or more of the parties' customers or competitors have a significant non-controlling shareholding (i.e. above 10%) in any of the undertakings concerned.
(c) The parties own or control important technological, financial or competitively valuable assets, such as raw materials, intellectual property rights, patents, data or infrastructure
(d) The parties are active in closely neighbouring markets and any of the Parties individually holds a market share of 30% or more in any of these markets under any plausible market definition
(e) The parties have a significant user base and/or commercially valuable data inventories
(f) The concentration will allow the merged entity to gain access to commercially sensitive information regarding the upstream or downstream activities of rivals.
(g) There will remain fewer than three competitors with market shares above 5% in any of the markets giving raise to horizontal overlaps or vertical relationships under any plausible market definition.

(h) The relevant market share thresholds are exceeded in terms of capacity or production under any plausible market definition.
(i) The parties (or one of them) are recent entrants in the overlapping markets (i.e. entered the market in the last three years)
(j) The parties' activities overlap or have a vertical relationship in highly differentiated products. And (i) brand recognition is important in any of the overlapping markets; (ii) branch or store locations are important in any of the overlapping markets, (iii) Technical specifications, quality or level of service is important in any of the overlapping markets, (iv) Advertising is important in any of the overlapping markets.
(k) The parties are important innovators in the overlapping markets.
(l) The parties have brought to the market an important pipeline product within the last 5 years.
(m) The main activity of one or more companies focuses on R&D.
(n) The concentration gives raise to pipeline-to-pipeline or pipeline-to-marketed product overlaps.
(o) One of the parties has plans to expand into product markets and/or geographic markets in which the other party is active or which are in a vertical relation with products in which the other party is active.
(p) In production chains with more than two levels, individual or combined market shares of the parties exceed 30% in any of the levels of the value chain (in terms of value, volume, production or capacity).

However, some of the replies received during the Consultation of Stakeholders expressed a need for caution on a number of the safeguards included at that point, indicating that certain safeguards (and in particular safeguards c, e, f and j) cannot be answered in a "yes/no" format because they imply a subjective judgment or are too vague. Also, they point out that some safeguards (e.g. safeguard h) require the gathering of detailed information in order to reply to the "yes/no" question included in the new Short Form CO, which would be burdensome and unjustified for simplified cases.

In conclusion, introducing Options 1a, 1b, 2a, 2b, 2c and 3 would have a neutral impact on the internal market. As explained above, the risks of introducing all the options assessed are very limited. Moreover, Option 3 will have a positive impact on the internal market, as it will help to identify cases falling a priori under the simplified procedure but that may require a more detailed assessment. As regards Option 3 specifically though, the Commission considers that it should take into account the feedback received during the Consultation of Stakeholders and remove some safeguards from the Short Form CO (i.e. safeguards c, e, f, h and j), to make the list included as objective and concrete as possible and to reduce as much as possible the burden for businesses involved in terms of information gathering. Here, it is important to note that none of the safeguards concerned by these comments and to be removed in the final version of the Short Form CO were identified in the internal research on intervention cases as some of the factors leading the Commission to intervene in markets that could fall under the simplified procedure. These are the most important safeguards to ensure that the Commission captures all cases that could potentially raise competition concerns. A more detailed assessment can be found in Annex 5. Also, none of these safeguards should be removed from the Notice on

Simplified Procedure so that the Commission can still inquire about these by way of requests for information in cases of doubts.

6.1.2. Impact on businesses and enforcement authorities

With regard to Options 1a and 1b, the large majority of stakeholders consider that the introduction of the flexibility clause would be beneficial and consider that it would bring a moderate to significant reduction of burden and costs for businesses involved (i.e. the notifying parties) (with only a few stakeholders indicating that it would only bring a negligible reduction).

The internal research on intervention cases shows that no additional case would be captured under the simplified procedure with option 1a. In two cases (2% of all cases analysed) all the horizontal overlaps involved combined market shares between 20 and 25% and could therefore benefit from the flexibility clause. However, these cases also gave rise to vertical relationships, which would not fall under any of the categories of simplified treatment proposed. The horizontal overlaps (including all possible segments) that would qualify for simplified treatment under the flexibility clause for horizontal overlaps represent approximately 14% of the total horizontal overlaps analysed in the period reviewed. Therefore, the impact of introducing this clause would be very significant.

Three cases (3% of all cases analysed) could have been reviewed under the simplified procedure with the flexibility clause for vertical relationships (Option 1b). The vertically related markets (including all possible segments) in which market shares were between 30 and 35% either upstream or downstream represent approximately 19% of the total vertically related markets analysed. Approximately 13% of all vertical relations analysed in the period reviewed presented market shares between 30% and 35% either in the upstream or downstream market, while in the other vertically related market, market shares were below 35% and thus would have benefited from the flexibility clause.

It follows that introducing the flexibility clause for horizontal overlaps and vertical relationships would bring a very significant reduction of burden for cases falling under the normal procedure, as 14% of the horizontal markets/segments and 13% of the vertically related markets/segments reviewed under the normal procedure in the period assessed could have benefitted from this clause and thus a detailed assessment and market investigation would not have been required for these markets.

Most respondents added that a flexibility clause based on Option 1c would lead to a "*moderate*" or "*significant*" reduction in administrative burden and costs for undertakings involved (i.e. the notifying parties). Internal research shows that Option 1c

would also reduce the administrative burden on the Commission. Thanks to this Option, on average 2.5 additional cases per year would fall under the simplified procedure.[40]

With regard to option 2a, the large majority of private stakeholders consider that the introduction of the category of highly asymmetric positions upstream and downstream would be beneficial and consider that it would bring a moderate to significant reduction of burden and costs for businesses involved (i.e. the notifying parties) (with only a few stakeholders indicating that it would only bring a negligible reduction). The only public authority that replied to this question considers that it would bring a significant reduction of the burden and costs for companies and the Commission.

The internal research carried out by the Commission on the number of horizontal overlaps and vertical relationships that would fall under the simplified procedure shows that introducing this new category would have captured four additional cases under the simplified procedure in the period assessed. Moreover, it would also bring a significant reduction of burden for cases falling under the normal procedure, as a significant number of vertical markets/segments reviewed under the normal procedure in the period assessed could have benefitted from this clause and thus a detailed assessment and market investigation would not have been required for these markets. In particular, introducing the highest thresholds considered (i.e. 50% in one market and 10% in the other vertically related market) would capture approximately 2% of the vertically related markets/segments analysed.

With regard to Option 2b, the large majority of private stakeholders consider that the introduction of the category of low purchasing share would be beneficial and consider that it would bring a moderate to significant reduction of burden and costs for businesses involved (i.e. the notifying parties) (with only a few stakeholders indicating that it would only bring a negligible reduction). The public authority that replied to this question considers that it would bring a moderate reduction of burden and costs for companies and the Commission.

The internal research carried out by the Commission on the number of horizontal overlaps and vertical relationships that would fall under the simplified procedure shows that introducing this new category would have captured two additional cases under the simplified procedure in the period assessed. Furthermore, in one case all the vertical relationships would have fallen under the new purchasing share category. However, in this case all the horizontal overlaps except one could have fallen under the flexibility clause. Therefore, if it had not been for this one overlap, the case would have fallen under the simplified procedure. Moreover, this new category would also bring a significant reduction of burden for cases falling under the normal procedure, as approximately 3% of the total vertically related markets reviewed under the normal procedure in the period assessed could have benefitted from this clause and thus a detailed assessment and market investigation would not have been required for these markets, if the highest

[40] Taking into account cases reviewed in the period 2010-2020. As the number of joint ventures with low turnover notified each year is relatively low, the Commission's internal research covered a longer period to ensure it is representative.

thresholds considered were introduced (i.e. 30% upstream and 30% for purchasing share, without limit downstream).

With regard to Option 2c, the large majority of private stakeholders consider that the introduction of the category of a limited increment to pre-existing vertical integration would be beneficial and consider that it would bring a moderate to significant reduction of burden and costs for businesses involved (i.e. the notifying parties) (with only a few stakeholders indicating that it would only bring a negligible reduction). The public authority[41] that replied to this question considers that it would bring a significant reduction of the burden and costs for companies and the Commission.

The internal research carried out by the Commission on the number of horizontal overlaps and vertical relationships that would fall under the simplified procedure shows that introducing this new category would have captured two additional cases under the simplified procedure in the period assessed. Moreover, it would also bring a moderate reduction of burden for cases falling under the normal procedure, as approximately 0,4% of the total vertically related markets reviewed under the normal procedure in the period assessed could have benefitted from this clause and thus a detailed assessment and market investigation would not have been required for these markets.

With regard to Option 3, its impact in terms of burden and costs for companies involved and the Commission is expected to be very limited given that the number of cases that will have to be reverted to the normal procedure is expected to be very limited. The Commission has not applied these safeguards in the past and therefore it is not possible to quantify the exact number of cases. In any event, the Commission will have discretion to revert a case to the normal procedure and it will not be an automatic process. Therefore, only cases that could be problematic and merit a more in-depth review would be assessed under the normal procedure. The introduction of the appropriate safeguards together with a modification of the notification forms to systematically check them can help to ensure that there is no risk of under-enforcement. Although this is a new information requirement, the burden will be very limited as information on safeguards is to be supplied in response to a limited number of Yes/No questions. Moreover, this will allow to increase the thresholds for treatment under the simplified procedure without any undue risk of under-enforcement, thus reducing administrative burden.

However, as set out on page 34, in the Consultation of Stakeholders a significant number of private stakeholders and several NCAs considered that some of the safeguards introduced in the Short Form CO cannot be answered objectively in a "yes/no" format as required, and providing detailed information would be very burdensome and unjustified for simplified cases. None of the safeguards concerned by these comments were identified in the internal research on intervention cases as some of the factors leading the Commission to intervene in markets that could fall under the simplified procedure. Moreover, these safeguards should in any event be included in the Notice on Simplified Procedure and the Commission will be able to request this information through requests for information if it is relevant for a specific case, as it can do currently. As such, to

[41] The Romanian Competition Council.

reduce the burden for notifying parties as much as possible, they should not be included in the notification forms.

With regard to options 1a, 1b, 1c 2a, 2b, 2c and 3, 115 decisions adopted in non-simplified cases in the period running from 1 January 2020 to 30 June 2021 were analysed. Should all the categories with the highest proposed thresholds be included in the Notice on Simplified Procedure, we would have captured approximately 11 additional cases under the simplified procedure in this period. This would represent approximately 9.5% of the non-simplified cases. It would also increase by two percentage points approximately the overall number of cases treated under the simplified procedure. Finally, in cases falling under the normal procedure the combination of all options considered would capture a very significant number of markets/segments which would not need to be assessed in-depth. In particular, approximately 14% of the total horizontal overlaps and up to 19% of the total vertical relationships assessed under the normal procedure in the period assessed could have benefitted from the different options and thus a detailed assessment and market investigation would not have been required for these markets.

In terms of costs, as concluded in the evaluation, increasing the number of simplified cases reduces costs for businesses and the Commission alike.

With regard to savings for the parties to a concentration, the costs of an EU merger notification include notably those resulting from preparing, drafting and submitting an EU merger notification and from waiting for approval before implementing the transaction. These costs may vary significantly depending on the scope and size of the transaction, the number of markets involved or the complexity of the case. Due to those complexities, the Commission was only able to use two rough proxies for the cost reductions in the evaluation:

(i) the average length of the notification documents: the information required to submit a notification under the simplified procedure is significantly less than that required under the normal procedure and less burdensome to collect for the Parties;
(ii) the average time needed to obtain a clearance decision: the waiting period until clearance entails costs for firms, notably in terms of financing costs and in terms of delaying the realisation of any benefits resulting from the operation. The evaluation concluded that parties to concentration saved on average more than 25 working days (that is to say more than 5 calendar weeks) overall (including pre-notification and notification) in cases treated under the simplified procedure.

Therefore, increasing the number of cases that will be reviewed under the simplified procedure has a significant positive impact in terms of cost reductions for the parties to a concentration. This was confirmed by the large majority of private stakeholders that considered that the introduction of options 1, 2 and 3 would be beneficial and consider that it would bring a moderate to significant reduction of burden and costs for businesses involved (i.e. the notifying parties).

6.1.3. Impact on digitalisation

Options 1, 2 and 3 do not have any impact on digitalisation.

6.1.4. Environmental impact

Options 1, 2 and 3 do not have any environmental impact.

6.2. Streamlining the review of cases treated under the simplified procedure

6.2.1. Impact on the internal market

The impact assessment shows that Options 1, 2, 3 would all have a neutral impact on the internal market.

Option 1 proposes a rather limited change, streamlining only the format of the notification without reducing information requirements or streamlining the way in which the Commission carries out the jurisdictional and substantive assessment of the case. As a result, this Option would entail minimum risk because the Commission would still receive the same information and carry out the same type of review.

In the Public Consultation, the vast majority of private stakeholders and public authorities responding indicated that Option 1 would not entail any risk for the effective enforcement of EU merger control rules (e.g., a risk that the Commission would not receive sufficient information to assess whether a transaction should be reviewed under the simplified procedure or not). Certain respondents submitted that with Option 1, notifying parties might not have the opportunity to provide details or additional explanations on some of their statements. Private and public stakeholder respondents raised the same issue in the Consultation of Stakeholders. To address these concerns, the draft revised Short Form CO on which the Commission consulted in the Consultation of Stakeholders includes several "free-text" boxes where the notifying parties can elaborate on the statement boxes they have ticked.

Option 2 would introduce a streamlined formatting and review of jurisdiction in simplified cases. Here, the idea would be to introduce a "tick-the-box" list of statements on the basic facts relevant for the jurisdictional assessment, that notifying parties would need to tick without needing to provide underlying evidence, thereby reducing certain information requirements and thus, limiting pre-notification contacts on questions of jurisdiction.

None of the public authorities that participated in the Public Consultation and/or the Consultation of Stakeholders raised concerns about the impact of Option 2 on the allocation of jurisdiction between the Commission and the NCAs in merger cases (namely, about the possibility that an operation would be assessed under merger rules at EU level and not at Member State level).[42] Respondents to the Public Consultation and/or the Consultation of Stakeholders did not raise concerns either about the risk that an operation would be assessed as a concentration while it should be investigated under

[42] Similarly, NCAs did not specifically comment on this point during the Merger Working Group meetings when the simplification options were presented.

antitrust rules and Regulation 1/2003.[43] This could, in principle, happen since in cases where a transaction is not notifiable because it is not a concentration within the meaning of the EUMR, the transaction would be subject to Regulation 1/2003. However, given that the streamlined revision of jurisdiction only concerns cases that do not raise competition concerns, it is extremely unlikely that these transactions are of any interest under Regulation 1/2003.

In the same vein, the Commission's internal assessment did not reveal any serious risk linked to Option 2. The statements on jurisdiction included in the "tick-the-box" form are factual. When this is not the case, the notifying parties can complement their response by adding explanations in "free-text" format. In any event, if any Member State or NCA or third parties raise jurisdictional concerns during the proceedings, the Commission would have the ability to check jurisdiction more in detail.[44] Finally, the Commission recognises that there are cases in which the jurisdictional assessment is not straightforward and the notifying parties would like to get comfort on jurisdiction in view of any remaining legal risks. For these cases, there is always the option for notifying parties to file a jurisdictional consultation in order to engage in pre-notification discussions and clarify the jurisdictional aspects.

Option 3 distinguishes two types of simplified cases:

(a) *Simplified cases where the transaction does not give rise to horizontal overlaps or vertical relationships between the activities of the parties*. For these cases, Option 3 proposes that the concentration should be notified without pre-notification contacts and there is no need to detail the activities of the target (as required in Section 8 of the existing Short Form CO);
(b) *All other simplified cases*. For these cases, Option 3 still requires pre-notification contacts but includes template tables which the notifying parties can use to present their horizontal overlaps and vertical relationships, streamlining the relevant analysis.

In the Public Consultation, the vast majority of private stakeholders and public authorities respondents indicated that Option 3 would not entail any risk for the effective enforcement of EU merger control rules (e.g., a risk that the Commission would not receive sufficient information to assess whether a transaction should be reviewed under the simplified procedure or not). In the Consultation of Stakeholders, respondents welcomed the inclusion of "safeguards" in the revised Short Form CO, because it limits the risk that potentially problematic cases are reviewed under the simplified procedure.

The Commission's internal assessment confirms the views expressed in the Public Consultation and in the Consultation of Stakeholders. The risk that Option 3 entails for

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43 Council Regulation (EC) No 1/2003 of 16 December 2002 on the implementation of the rules on competition laid down in Articles 81 and 82 of the Treaty OJ L 1, 4.1.2003, p. 1–25.

44 Moreover, if, after the clearance, it turns out the Parties erred in their assessment, the Commission could check whether the Parties provided incorrect and/or misleading information for which one of the undertakings was responsible and, in the affirmative, could consider revoking the clearance decision pursuant to Article 6(4) EUMR or imposing fines based on Article 14(1)(a) EUMR.

the internal market is that the Commission would clear (under the simplified procedure) a potentially problematic concentration that could significantly affect competition in one or more relevant markets in the EEA. However, this risk is limited for the following reasons:

(a) Unlike the existing Short Form CO, the revised Short Form CO would include a list of "safeguards" (namely, circumstances that would require the Commission to assess more closely a concentration). The notifying parties would be required to identify whether one of these safeguards applies to their concentration. This limits the risk that the Commission misses facts which are relevant for the assessment of potentially problematic concentrations;
(b) The Commission would retain the possibility to revert the case to normal procedure after notification if it receives substantiated complaints from third parties during the procedure; and
(c) The Commission would also be able to declare the notification incomplete or even to revoke its decision if the notifying parties provided incorrect and/or misleading information in the "tick-the-box" statements about safeguards (Article 6(3)(a) EUMR). The Commission could also impose a fine on the notifying parties under Article 14(1) EUMR if the information provided were found incorrect and/or misleading.

6.2.2. Impact on businesses and enforcement authorities

Option 1 brings the most limited efficiency gains both for businesses involved and enforcement authorities (the Commission), as it essentially includes the same information requirements with minimal changes in the structure of the Short Form CO.

Regarding Option 1, the majority of respondents to the Public Consultation indicated that it could lead to "*no or negligible*" or at best, "*moderate*" reduction in the amount of information that businesses have to submit with their notification. The results are similar as regards the impact of Option 1 on the average time needed to obtain a clearance decision in unproblematic cases (treated under the simplified procedure). This impact (even if limited) would be beneficial for the businesses involved but also for the enforcement authority (i.e. the Commission) which can focus its resources on more problematic cases.

Turning to Option 2, the vast majority of respondents to the Public Consultation stated that it could lead to a "*moderate*" or "*significant*" reduction of the amount of information that businesses have to submit with their notification. The results are similar as regards the impact of Option 2 on the average time needed to obtain a clearance decision in unproblematic cases (treated under the simplified procedure).

In the same vein, the Commission's internal research suggests that Option 2 would allow to significantly reduce the duration of pre-notification contacts in simplified cases. In more than 65% of the simplified cases notified between June 2021 and May 2022[45], the

[45] Based on information from internal data collection.

Commission asked pre-notification questions to the parties on the jurisdictional aspects of the case. In a significant part of those cases (46/134 – 34%), the questions on jurisdiction represented half or more of the total number of questions sent, including eight cases of extra-EEA joint ventures (with no activities and no impact in the EEA) where *all* the questions asked concerned the jurisdictional assessment. The introduction of the tick-the-box form, coupled with a system where the Commission relies on the statements made by the notifying parties instead of thoroughly questioning the notifying parties' views, would contribute to reduce the total number of requests for information and questions sent to parties to a concentration. This would reduce the administrative burden for the businesses involved (i.e. the notifying parties) and the Commission alike and would also likely reduce the duration of the pre-notification contacts period.

Regarding Option 3, the vast majority of respondents to the Public Consultation noted it could lead to a "*moderate*" or "*significant*" reduction of the amount of information that businesses have to submit with their notification. All of the respondents indicated that Option 3 would result in a "*moderate*" or "*significant*" reduction of average time needed to obtain a clearance decision in unproblematic cases. As one private stakeholder put it in the Public Consultation, "*a tick-the-box list for at least parts of the Short Form CO would reduce the burden and time for the preparation on the parties' side, but also would be more efficient to handle for the EC. Such a streamlined approach should help to overall speed up simplified procedures*". More recently, a competition law news service estimated that Option 3 "*could cut merger clearance timelines by more than half on some deals*" for simplified cases where the transaction does not give rise to horizontal overlaps or vertical relationships.[46] Public and private stakeholder respondents to the Consultation of Stakeholders confirmed this. In particular, the super-simplified procedure was welcomed as "*a clear relief for companies*" by one association of private stakeholders.

The Commission's internal assessment goes in the same direction:

(a) In simplified cases where the transaction does not give rise to horizontal overlaps or vertical relationships between the activities of the parties, the notifying party would have to tick the relevant box without submitting any further documentation or evidence. Once this is done, the Commission would rely on the self-assessment of the notifying party and not seek to double-check it against evidence. This reduces the administrative burden for the Commission and the notifying parties and also importantly, it eliminates the need for pre-notification contacts (which on average lasted 33 working days for simplified cases);[47]

(b) For all other simplified cases, Option 3 reduces the administrative burden for the notifying parties and for the Commission because it requires information on the horizontal overlaps and vertical relationships between the activities of the parties

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46 PaRR, "EC 'super-simplified' proposal could cut merger clearance timelines by more than half on some deals", 17 May 2022.

47 Based on data from the period 2012-2021 and taking into account the period between the case team allocation form and the notification.

but in predetermined, tabular format which is consistent across cases. For notifying parties, providing data in tabular format helps compile the information early on. For the Commission , having this information in tabular format will allow (i) to verify faster whether the case should be reviewed under the simplified procedure and (ii) to process more easily the relevant data when they report internally on the case.

6.2.3. Impact on digitalisation

Options 1, 2 and 3 do not have any impact on digitalisation.

6.2.4. Environmental impact

Options 1, 2 and 3 do not have any environmental impact.

6.3. Streamlining the review of cases treated under the normal procedure

6.3.1. Impact on the internal market

The impact assessment shows that Options 1 and 2 would have a neutral impact on the internal market.

Option 1 proposes changes of the structure of the Form CO, which aim to reduce information requirements by introducing the flexibility clause for simplified cases into the Form CO, by removing several requirements in current section 8 and by introducing a new table format for cases in which potential competition plays a decisive role. These proposals would entail only a minimal risk for enforcement because the Commission would still receive the relevant information and be able to carry out the same type of review as before. .

Option 2 is about making waivers for certain parts of the draft revised Form CO easier for notifying parties. It is expected that increased use of such waivers will be made which would further reduce the amount of information required in normal cases considerably. As granting waivers are a decision by the Commission on a case-by-case basis, Option 2 would not entail any risk for the effective enforcement of EU merger control rules.

Private stakeholders and the public authorities that replied expressed support for the proposals made under these two options, as they would reduce information requests without risking negative effects on market dynamics in the internal market.

6.3.2. Impact on businesses and enforcement authorities

Companies have voiced concerns about what they perceive as excessive information requirements of the Form CO, in particular for those cases, which do not meet the criteria of the simplified procedure but are unlikely to cause competition problems. These non-intervention normal cases account for 16% of all decisions taken by the Commission during the period 2015-2020. These stakeholders consider that the current information requirements are not proportionate in the vast majority of these cases. Furthermore, also in cases requiring intervention, there are often technically affected but unproblematic

markets for which the information requirements should be different from the main markets where the transaction may give rise to competition concerns.

The two options proposed aim at making notifications of cases falling under the normal procedure less burdensome for notifying parties. Under the first option, the impact of limiting the information requirements for markets that benefit from the flexibility clauses in point 8 of the draft revised Notice on Simplified Procedure would be very much the same as in the case of simplified cases as this measure does nothing but importing the new flexibility clause for hitherto technically affected markets into the standard Form CO. Eliminating altogether certain information requirements in Section 8 of the current Form CO would directly reduce the regulatory burden on notifying parties.

The introduction of tables in cases where innovation and pipeline products play a key role does not limit the amount of information required but would help to collect it in a more focused way, thereby reducing the time needed to discuss with the Commission the scope and scale of the information required. Private respondents to the Consultation of Stakeholders welcomed the table format, but a few of these respondents voiced concerns that this would in effect mean an increase in the information required. However, the table rather codifies in this new format the information, which was requested in the Commission's practice of the last years in all cases involving innovation and nascent markets. Effectively there should therefore not be an increase in information requirements. Instead, the inclusion of this requirement already in the Form CO should allow notifying parties to frontload and thereby speed up the information gathering, thus potentially shortening the pre-notification period.

Option 2 would make it easier for notifying parties to request waivers for certain parts of the draft revised Form CO. It is expected that increased use of such waivers will be made which would further reduce the amount of information required in normal cases considerably, thereby addressing the criticism voiced by certain private stakeholders. All private and public respondents to the Consultation of Stakeholders expressed support for this option.

It has throughout the impact assessment process proven impossible to quantify the reduction of costs and burden that would result from simplifying EU merger procedures. Nevertheless, it is clear that simplification of EU merger procedures in line with the two options discussed above will overall result in more limited information requirements and easier submission of that information. Logically, this means that notifying parties' costs in gathering this information, both in terms of time and in monetary terms, will be reduced. This is confirmed by respondents in the Public Consultations, who have overall been positive about the initiative. Similarly, the Commission will have to digest in these cases less information in these non-problematic cases. Therefore, it is expected that all options will necessarily have a positive impact, both for notifying parties as well as for the Commission.

6.3.3. Impact on digitalisation

Options 1, 2, 3 and 4 do not have any impact on digitalisation.

6.3.4. Environmental impact

Options 1, 2, 3 and 4 do not have any environmental impacts.

6.4. Electronic transmissions of documents

6.4.1. Impact on the internal market

Options 1 and 2 do not have any direct impact on the internal market. Indirectly, electronic notifications would enable parties to a concentration to reduce any delays before a notification can be submitted, reducing this way the overall period from pre-notification to Commission decision.

6.4.2. Impact on businesses and enforcement authorities

In relation to Option 1, the majority of the respondents to the Public Consultation assumed that the Commission would accept the electronic notification as the legally binding one, as opposed to the paper originals to be submitted at a later stage. The opposite scenario, whereby the Commission would accept the paper originals that would follow the electronic copy as the legally binding notification, would be of limited or no added value compared to the baseline scenario.

Option 1 would enable parties to a concentration to notify earlier, without having to produce and submit to the Commission any hand-signed paper copies for the notification to become effective. Parties to a concentration would still, however, be required to produce and submit to the Commission large amounts of paper via post or hand delivery as soon as possible following the electronic notification. This multiplication of efforts would create unnecessary burden, costs and delays.

Under Option 2, there would be only one copy of the notification and all transmissions of documents to and from the Commission would take place in principle electronically. There would be no need to print large amounts of documents and submit them to the Commission. Not having to produce and submit large amounts of paper would make the notification process much more efficient and produce time savings for the businesses involved (i.e. the notifying parties) since the legal notification can take place earlier.

In the legal texts on which the Commission consulted in the Consultation of Stakeholders, the Commission, as a compliment to Option 2, introduced fallback solutions in case transmissions are voluminous in size or where signing documents with an electronic signature is not feasible. In the former case, submissions may be hand delivered to the Commission using external storage devices, and in the latter case, a hand singed paper copy of the submission may be hand delivered or sent by registered post to the Commission.

The feedback from stakeholders received in response to the Public Consultation regarding the impact on businesses and enforcement authorities was also confirmed by the responses to the Consultation of Stakeholders. Both private and public respondents expressed unanimous support for the introduction of electronic transmission of documents. A national competition authority confirmed that it already accepts electronic transmission of documents, including merger notifications, without the need for physical copies. Private stakeholders also welcomed the initiative pointing to the positive impact

of Option 2, such as time savings in relation to merger notifications. One stakeholder even encouraged the Commission to consider implementing electronic notification forms in the future.

6.4.3. Impact on digitalisation

The current sub-section applies to both options 1 and 2 since both entail electronic transmission of documents.

One respondent to the Public Consultation expressed the need of maintaining paper copies as the most reliable way to guarantee ex post the integrity of the information exchanged electronically. However, the eIDAS Regulation[48] adopted by the Commission provides proper safeguards and equalises the legal effect of qualified electronic signatures to that of handwritten ones.

In addition, the majority of private stakeholders who responded to the Public Consultation highlighted that digital signatures are nowadays widely used and trusted.

Both Options 1 and 2 will therefore further promote the Commission's digital transformation, making it digital-ready, by simplifying the notification process for the notifying parties and the general exchange of case-related documents between the Commission and external stakeholders though Option 2 will do so to a more significant extent than Option 1.

In response to the Consultation of Stakeholders implementing Option 2, both private and public respondents unanimously welcomed the introduction of the electronic transmission of documents and generally took the view that this envisaged change should be uncontroversial. One respondent requested greater flexibility so that companies can use alternative transmission methods such as hand delivery of electronically signed documents in case of large volumes of documents, or hand signed paper copies in case of encountering difficulties with electronic signatures, without the need for the Commission's express agreement. This feedback was taken into account and is reflected in the modified legal texts which now allow greater flexibility regarding the use of the fall-back mechanisms.

6.4.4. Environmental impact

There will be only one copy of the notification and all transmissions of documents to and from the Commission would take place in principle electronically. There would be no need to print large amounts of documents and submit them to the Commission.

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[48] Regulation (EU) No 910/2014 of the European Parliament and of the Council of 23 July 2014 on electronic identification and trust services for electronic transactions in the internal market and repealing Directive 1999/93/EC, available at https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=uriserv%3AOJ.L_.2014.257.01.0073.01.ENG.

7. HOW DO THE OPTIONS COMPARE?

This section compares the different policy options and sub-options between themselves where relevant and against the baseline scenario as regards their effectiveness, efficiency and coherence, and concludes on the preferred option for each area of simplification/streamlining. This comparison takes into account the impact of each option on the internal market; on businesses and enforcement agencies; and on digitalisation as explained in section 6 above.

In order to compare the effectiveness of the different policy options, their ability to achieve the specific objectives of this initiative are assessed, i.e., to:

(a) better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review and
(b) reduce the administrative costs and burdens of the merger review process (for businesses and for the Commission).

The assessment of efficiency takes into account how the policy options will affect the costs that businesses incur in order to notify a transaction. For this initiative, considering that one of its objectives is to reduce administrative costs for businesses, there is an overlap between the assessment of effectiveness and efficiency. Therefore, the assessment of effectiveness and efficiency will be presented together in the remainder of this section.

As regards coherence, the policy options need to be assessed in light of other EU legislation with relevance for the merger review process.

7.1. Expanding and clarifying the categories of cases falling under the simplified procedure

Options 1, 2 and 3 are not mutually exclusive and could be introduced cumulatively. Therefore, it is not necessary to compare these options with each other. The same applies to sub-options 1a, 1b and 1c and sub-options 2a, 2b and 2c respectively.

7.1.1. Effectiveness and efficiency

Compared with the baseline, Option 1a, as explained in section 6.1.2 above, would bring a significant reduction of burden for normal cases, as approximately 14% of the horizontal markets/segments assessed under the normal procedure from 1 January 2020 to 30 June 2021 could have benefitted from this option. Thus, a detailed assessment and market investigation would not have been required for these markets. Therefore, Option 1a compared with the baseline would significantly reduce administrative costs and burdens of the merger review process. Moreover, as concluded in section 6.1.1 above, Option 1a does not meaningfully increase the risk that any of the intervention cases would have been treated under the simplified procedure or any problematic market would have escaped an in-depth review by the Commission. Thus, there is no negative impact on the internal market. At the same time, given that the Commission will free up resources from the assessment of clearly non-problematic cases and/or markets, it will be able to dedicate such resources to the assessment of cases and/or markets that merit a

more detailed assessment. Therefore, this option compared with the baseline would make it possible to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review.

With regard to the exact threshold for Option 1a, the Commission considered two possibilities: i) to increase the combined market shares by 1 percentage point (i.e., up to 21%) ("Option 1a.i") or by 5 percentage points (i.e., up to 25%) ("Option 1a.ii"). Increasing the threshold by only 1 percentage point would limit significantly the benefits of the flexibility clause and the number of cases and markets/segments captured by it would be lower. This was confirmed by the view of stakeholders responding to the Public Consultation and Consultation of Stakeholders that expressed unanimous support for the introduction of a flexibility clause for cases in which the current market share thresholds of the Notice on Simplified Procedure are slightly exceeded by up to 5 percentage points. At the same time, increasing the threshold to 25% would not entail any significant risk of missing relevant cases. Therefore, Option 1a.i is less efficient and effective than Option 1a.ii.

Compared with the baseline, Option 1b, as explained in section 6.1.2 above, would result in three cases being treated under the simplified procedure from 1 January 2020 to 30 June 2021. Moreover, this option would also bring a significant reduction of burden for normal cases, as 13% of the vertically affected markets/segments assessed under the normal procedure from 1 January 2020 to 30 June 2021 could have benefitted from this option. Thus, a detailed assessment and market investigation would not have been required for these markets. Therefore, Option 1b compared with the baseline would significantly reduce administrative costs and burdens of the merger review process. Moreover, as concluded in section 6.1.1 above, Option 1b does not meaningfully increase the risk that any of the intervention cases would have been treated under the simplified procedure or any problematic market would have escaped an in-depth review by the Commission. Thus, there is no negative impact on the internal market. At the same time, given that the Commission will free up resources from the assessment of clearly non-problematic cases and/or markets, it will be able to dedicate such resources to the assessment of cases and/or markets that merit a more detailed assessment. Therefore, this option compared with the baseline would make it possible to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review.

With regard to the exact threshold for Option 1b, the Commission considered two possibilities: i) to increase the combined market shares by 1 percentage point (i.e., up to 31%) ("Option 1b.i") or by 5 percentage points (i.e., up to 35%) ("Option 1b.ii"). The Commission concluded that Option 1b.i is less efficient and effective than Option 1b.ii on the same grounds explained above for Options 1a.i and 1a.ii.

Compared with the baseline, Option 1c, as described in section 5.2.2 above, would result in approximately 25 additional cases being treated under the simplified procedure in 2011-2021. Thus, a detailed assessment and market investigation would not have been required for these cases. Therefore, Option 1c compared with the baseline would reduce administrative costs and burdens of the merger review process. Moreover, as concluded in section 6.1.1 above, Option 1c does not meaningfully increase the risk that any of the intervention cases would have been treated under the simplified procedure. Thus, there is

no negative impact on the internal market. At the same time, given that the Commission will free up resources from the assessment of clearly non-problematic cases, it will be able to dedicate such resources to the assessment of cases that merit a more detailed assessment. Therefore, this option compared with the baseline would make it possible to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review.

With regard to the exact threshold for Option 1c, the Commission considered increasing the yearly current turnover of the joint venture in the EEA or the value of the assets transferred to the joint venture in the EEA to EUR 150 million. The vast majority of respondents to the Public Consultation expressed support for this threshold (which increases the existing threshold of EUR 100 million by 50%). This threshold ensures a meaningful reduction of administrative costs and burdens for the merger review process, without any significant risk of missing relevant cases. In the Public Consultation, stakeholders proposed alternative (higher) thresholds (e.g., EUR 250 million or 400 million) but they did not provide evidence why these thresholds would be best suited to Option 1c.

Compared with the baseline, Option 2a, as described in section 6.1.2 above, would have captured four additional cases under the simplified procedure from 1 January 2020 to 30 June 2021. Moreover, it would also bring a significant reduction of burden for normal cases, as approximately 2% of the vertically related markets/segments assessed under the normal procedure from 1 January 2020 to 30 June 2021 could have benefitted from this Option. Thus, a detailed assessment and market investigation would not have been required for these markets. Therefore, Option 2a compared with the baseline would significantly reduce administrative costs and burdens of the merger review process. Moreover, as concluded in section 6.1.1 above, Option 2a does not significantly increase the risk that any of the intervention cases would have been treated under the simplified procedure or any problematic market would have escaped an in-depth review by the Commission. Thus, there is no negative impact on the internal market. At the same time, given that the Commission will free up resources from the assessment of clearly non-problematic cases and/or markets, it will be able to dedicate such resources to the assessment of cases and/or markets that merit a more detailed assessment. Therefore, this option compared with the baseline would make it possible to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review.

With regard to the exact threshold for Option 2a, the Commission considered four possibilities: i) a maximum individual or combined market share of 5% in one market and a maximum individual or combined market share of 40% in a vertically related market; ii) a maximum individual or combined market share of 10% in one market and a maximum individual or combined market share of 40% in a vertically related market; iii) a maximum individual or combined market share of 5% in one market and a maximum individual or combined market share of 50% in a vertically related market; iv) a maximum individual or combined market share of 10% in one market and a maximum individual or combined market share of 5% in a vertically related market. Options 2a.i, 2a.ii and 2a.iii would limit the benefits of the flexibility clause for this category and the number of cases and markets/segments captured would be lower than with Option 2a.iv. This was confirmed by stakeholders responding to the Public Consultation and

Consultation of Stakeholders. At the same time, introducing Option 2a.iv under the flexibility clause would not entail any significant risk of missing relevant cases, in particular if included under the flexibility clause. Therefore, Options 2a.i, 2a.ii and 2a.iii are less efficient and effective than Option 2a.iv.

Compared with the baseline, Option 2b, as described in section 6.1.2 above, would have captured two additional cases under the simplified procedure from 1 January 2020 to 30 June 2021. Moreover, it would also bring a significant reduction of burden for normal cases, as approximately 3% of the vertically related markets/segments assessed under the normal procedure from 1 January 2020 to 30 June 2021 could have benefitted from this option. Thus, a detailed assessment and market investigation would not have been required for these markets. Therefore, Option 2b compared with the baseline would significantly reduce administrative costs and burdens of the merger review process. Moreover, as concluded in in section 6.1.1 above, Option 2b does not meaningfully increase the risk that any of the intervention cases would have been treated under the simplified procedure or any problematic market would have escaped an in-depth review by the Commission. Thus, there is no negative impact on the internal market. At the same time, given that the Commission will free up resources from the assessment of clearly non-problematic cases and/or markets, it will be able to dedicate such resources to the assessment of cases and/or markets that merit a more detailed assessment. Therefore, this option compared with the baseline would make it possible to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review.

With regard to the exact threshold for Option 2b, several possibilities were considered: i) a maximum purchasing share of 5% and a maximum downstream combined market share of 50%; ii) a maximum purchasing share of 10% and a maximum downstream combined market share of 50%; iii) a maximum purchasing share of 5% without limit downstream; iv) a maximum purchasing share of 10% without limit downstream; and v) a maximum purchasing share of 30% without limit downstream. Options 2b.i, 2b.ii, 2b.iii and 2b.iv would limit the benefits of introducing this category and the number of cases and markets/segments captured would be lower than with Option 2b.v. This was confirmed by the view of stakeholders responding to the Public Consultation and Consultation of Stakeholders. At the same time, Option 2b.v would not entail any significant risk of missing relevant cases. Therefore, Options 2b.i, 2b.ii, 2b.iii and 2b.iv are less efficient and effective than Option 2b.v.

Compared with the baseline, Option 2c, as described in section 6.1.2 above, would have captured two additional cases under the simplified procedure from 1 January 2020 to 30 June 2021. Moreover, it would also bring a moderate reduction of burden for normal cases, as approximately 0.4% of the vertically related markets/segments assessed under the normal procedure from 1 January 2020 to 30 June 2021 could have benefitted from this option. Thus, a detailed assessment and market investigation would not have been required for these markets. Therefore, Option 2c compared with the baseline would significantly reduce administrative costs and burdens of the merger review process. Moreover, as concluded in section 6.1.1 above, Option 2c does not meaningfully increase the risk that any of the intervention cases would have been treated under the simplified procedure or any problematic market would have escaped an in-depth review by the Commission. Thus, there is no negative impact on the internal market. At the same time,

given that the Commission will free up resources from the assessment of clearly non-problematic cases and/or markets, it will be able to dedicate such resources to the assessment of cases and/or markets that merit a more detailed assessment. Therefore, this option compared with the baseline would make it possible to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review.

Turning to Option 3, as explained in section 6.1.2 above, its impact in terms of burden and costs for companies and the Commission is expected to be very limited given that the number of cases that will have to be reverted to the normal procedure is expected to be very low, although it is not possible to quantify the exact number of cases. In any event, the Commission will have discretion to revert a case to the normal procedure and it will not be an automatic process.

Moreover, as described in section 6.1.1 above, the Commission's internal research on intervention cases showed that in 2015-2021, the Commission did intervene in markets potentially falling under certain new categories of cases proposed for simplified treatment or even under the existing categories of simplified cases.[49] Many of these circumstances are not systematically checked currently, but to limit any risk that potentially problematic cases are handled under the simplified procedure they should be checked systematically in the notification forms. Therefore, Option 3 compared with the baseline would allow the Commission to focus its investigations on the cases that merit a more detailed review.

With regard to introducing Options 1a, 1b, 1c 2a, 2b, 2c and 3 cumulatively, as explained in section 6.1.2, compared with the baseline this combination of Options would capture approximately 11 additional cases under the simplified procedure, which is 9.5% of the non-simplified cases and 2 percentage points of the overall number of cases treated under the simplified procedure. Furthermore, for non-simplified case it would capture a very significant number of markets/segments that would not need to be assessed in-depth. In particular, approximately 14% of the all horizontal overlaps and up to 19% of all vertical relationships assessed under the normal procedure in the period assessed could have benefitted from the different options, and thus a detailed assessment and market investigation would not have been required for these markets. The cost savings would be bigger than introducing only a subset of the options. Therefore, introducing all options cumulatively compared with the baseline or with introducing only a sub-set of the options would significantly reduce administrative costs and burdens of the merger review process.

As described in section 6.1.1 above, introducing Options 1a, 1b, 2a, 2b, 2c and 3 would have a neutral impact on the internal market; the risks of introducing all the options

[49] Concretely, the research showed that the Commission intervened in cases where (a) Less than three significant competitors remained post-merger; (b) There were pipeline to pipeline or pipeline to marketed products overlaps; (c) Market share thresholds were exceeded significantly in certain segments and/or Member States; (d) Market share thresholds were exceeded in previous years; (e) Market shares were difficult to calculate / unreliable; and/or (f) At least one of the Parties was a recent entrant.

assessed is very limited. Moreover, it will have a positive impact, as it will help to identify cases falling a priori under the simplified procedure but that may require a more detailed assessment, and thus allow the Commission to focus its investigations on the cases that merit a more detailed review. At the same time, given that the Commission will free up resources from the assessment of clearly non-problematic cases and/or markets, it will be able to dedicate such resources to the assessment of cases and/or markets that merit a more detailed assessment. Therefore, introducing Options 1a, 1b, 2a, 2b, 2c and 3 would make it possible to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review.

Therefore, the baseline or introducing a subset of options is less efficient and effective than introducing Options 1a, 1b, 2a, 2b, 2c and 3 cumulatively.

7.1.2. Coherence

Overall, Options 1a, 1b, 1c, 2a, 2b, 2c and 3 would not negatively affect the coherence of the Notice on Simplified Procedure and the Implementing Regulation with EU legislation with relevance for the merger review process, as they do not propose changes that would conflict with such legislation. Rather, Option 3 increases the coherence between the Notice on Simplified Procedure and the Implementing Regulation (especially, Annex II thereof which includes the Short Form CO). This is because Option 3 proposes to use the Short Form CO to check the presence of safeguards from the Notice on Simplified Procedure. Option 3 also increases the coherence between the Notice on Simplified Procedure, the Implementing Regulation, and the Horizontal and non-Horizontal Merger Guidelines. Many of the safeguards proposed in Option 3 are based on the Horizontal and the Non-Horizontal Merger Guidelines.

7.2. Streamlining the review of cases treated under the simplified procedure

Options 2 and 3 would entail limiting certain information requirements and therefore, they each constitute an alternative to Option 1 for certain parts of the Short Form CO. Option 1 could be implemented cumulatively with Option 2. Option 1 could also be implemented cumulatively with Option 3. Option 2 could be implemented cumulatively with Option 3 (in which case Option 1 becomes superfluous).

7.2.1. Effectiveness and efficiency

Compared with the baseline, Option 1 could be considered to better target the merger review process and reduce the administrative costs and burdens of the merger review process for cases falling under the simplified procedure. However, Option 1 is not particularly effective or efficient in this respect. The amount of information is not meaningfully reduced for the notifying parties. Only the format of the Short Form CO becomes more user-friendly. Option 1 would entail minimum risk given that the Commission would still receive the same information and carry out the same type of review, would have no negative impact on the internal market. Also, the streamlined formatting would – albeit limitedly – make it possible to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review

Compared with the baseline, Option 2 is effective to better target the merger review process, and thereby on the one hand would aid to reduce the administrative costs and burdens for cases falling under the simplified procedure, and on the other it would enable the allocation of such freed up resources to the assessment of cases and/or markets that merit a more detailed assessment. This benefits both notifying parties and the Commission. In more detail:

(a) Notifying parties will provide less information on the jurisdictional aspects of their concentration. This means that they can notify faster their concentration and in most cases receive faster unconditional clearance.
(b) The Commission will also be able to devote less time assessing jurisdictional issues for cases falling under the simplified procedure.

For the same reasons, Option 2 is also more efficient when compared with the baseline. For the reasons explained in Section 6.2.1, Option 2 does not meaningfully increase the risk that a problematic case would escape a detailed review by the Commission or the NCAs (under merger control or antitrust rules).

Compared with the baseline, Option 3 is effective to better target the merger review process, and thereby, on the one hand, would aid to reduce the administrative costs and burdens for cases falling under the simplified procedure, and on the other, would enable the allocation of such freed up resources to the assessment of cases and/or markets that merit a more detailed assessment. This benefits both notifying parties and the Commission. In more detail:

(a) Notifying parties will provide no or less information on the activities of the parties (depending on whether there is a horizontal overlap/vertical relationship or not). This means that they can notify faster their concentration and in most cases receive faster unconditional clearance (with the exception of cases which are reverted from simplified to normal procedure following notification).
(b) The Commission will also be able to devote less time assessing cases falling under the simplified procedure when these do not give rise to horizontal overlaps or vertical relationships. For cases where horizontal overlaps or vertical relationships exist between the activities of the parties, the relevant information will have to be given in tabular format, which allows the Commission to process it faster.

For the same reasons, Option 3 is also more efficient when compared with the baseline. For the reasons explained in Section 6.2.1, Option 3 does not meaningfully increase the risk that a problematic case would escape a detailed review by the Commission.

7.2.2. Coherence

Overall, Options 1, 2, and 3 would not negatively affect the coherence of Annex II of the Implementing Regulation with the Notice on Simplified Procedure and with EU legislation with relevance for the merger review process, as they do not propose changes that would conflict with such legislation. Rather, Option 3 increases the coherence between Annex II of the Implementing Regulation (which contains the Short Form CO) and the Notice on Simplified Procedure. This is because Option 3 proposes to include a list of safeguards in the Short Form CO, which are also explained in the draft revised

Notice on Simplified Procedure. Option 3 also increases the coherence between Annex II of the Implementing Regulation and the Horizontal and Non-Horizontal Merger Guidelines. Many of the safeguards included in the draft revised Short Form CO in the context of Option 3 are based on the guidance provided in the Horizontal and Non-Horizontal Merger Guidelines.

7.3. Streamlining the review of cases treated under the normal procedure

Options 1 and 2 are not mutually exclusive and could thus be introduced cumulatively. Therefore, there is no necessity to compare these two options with each other. Consequently, only a comparison with the baseline scenario of leaving the Form CO as is will be made in this section.

7.3.1. Effectiveness and efficiency

Compared with the baseline, Option 1, as explained in section 6.3.2 above, would bring a significant reduction of burden for normal cases. Option 1 comprises four modifications of Form CO. The first one is importing into the normal procedure the new flexibility clause from the Notice on Simplified Procedure means that markets, which benefit from this clause are no longer treated as affected markets. This amounts to less information to be provided by the notifying parties and lower administrative burden for the Commission. At the same time, it does not meaningfully increase the risk that any of the intervention cases would have been treated under the simplified procedure or any problematic market would have escaped an in-depth review by the Commission, as stated in section 7.1.1.

The case is even more obvious regarding certain information requirements in Section 8 of the current Form CO, namely "Cooperative Agreements", "Trade between Member States and imports from outside the EEA", and "Trade associations" which will be eliminated entirely. Experience has shown that this data is relevant in only a very limited number of cases and can be requested *ad hoc* for these cases through a request for information, should the need for obtaining this information arise.

Lastly, the new tables requesting information on potential horizontal overlaps involving pipeline products make it easier for notifying parties in cases involving innovation as a key parameter of competition and pipeline products to understand immediately what information is required. Compared to the baseline scenario the tables increase the efficiency of the notification process.

Thus, Option 1 would bring about no negative impact on the internal market. At the same time, given that the Commission will free up resources from the assessment of clearly non-problematic cases and/or markets, it will be able to dedicate such resources to the assessment of cases and/or markets that merit a more detailed assessment. Therefore, when compared with the baseline scenario, this Option would allow to better target the merger review process, allowing the Commission to focus its investigations on the cases that merit a more detailed review.

Similar arguments can be made for Option 2, which aims to facilitate waivers. Granting waivers is not automatic, but in the hands of the Commission and depends very much on

the case. Given the Commission will be able to decide on a case by cases basis, it will not become a means for notifying parties to withhold information crucial for the assessment of a case, but to ease the burden of collecting and assessing information, which is not required. Therefore, compared to the baseline, Option 2 would enable parties to a concentration to notify without spending time and resources on collecting information that is not necessary for the assessment of the concentration, and at the same time allow the Commission to focus its resources on those markets that merit a closer review.

The overall effectiveness and efficiency of these Options of reducing work for a notification under the EU Merger Regulation was recognised by all private and public stakeholders that responded to our public consultations.

7.3.2. Coherence

Overall, Options 1 and 2 would not negatively affect the coherence of Annex I of the Implementing Regulation with EU legislation with relevance for the merger review process, as they do not propose changes that would conflict with such legislation. Rather, in particular Option 1 increases the coherence between Annex I of the Implementing Regulation (which contains the Form CO) and the Notice on Simplified Procedure (which refers to flexibility clauses).

If a transaction is not notifiable because it is not a concentration within the meaning of the EUMR, the transaction would be subject to Regulation 1/2003. Given that the streamlined revision of jurisdiction only concerns cases that do not raise competition concerns, it is extremely unlikely that these transactions are of any interest under Regulation 1/2003. Stakeholders, including National Competition Authorities from Member States did not identify any significant risk in this regard, confirming that the concerned cases are typically those that raise no competition concerns under either EU or national merger control or EU antitrust rules.

7.4. Electronic transmissions of documents

7.4.1. Effectiveness and efficiency

Compared with the baseline, Option 1, as explained in section 6.4.2 above, would enable parties to a concentration to notify faster, without having to submit hand-signed paper copies. Parties to a concentration would still, however, be required to produce and submit to the Commission large amounts of paper via post or hand delivery as soon as possible following the electronic notification.

Under Option 2, there would be only one copy of the notification and all transmissions of documents to and from the Commission would take place in principle electronically. There would be no need to print large amounts of documents and submit them to the Commission. Not having to produce and submit large amounts of paper would make the notification process much more efficient and produce time savings since the notification can take place earlier.

During the Public Consultation, stakeholders expressed their strong preference for a system of fully electronic notifications and transmission of documents (Option 2), and

expressed concerns about a system whereby electronic notifications would need to be followed by paper originals. During the Consultation of Stakeholders, the support for Option 2 (which was reflected in the draft revised legal texts) was confirmed.

7.4.2. Coherence

Overall, Options 1 and 2 would not negatively affect the coherence of the Implementing Regulation with EU legislation with relevance for the merger review process, as they do not propose changes that would conflict with such legislation. To the contrary, both options give effect to the eIDAS Regulation for the purposes of EU merger control procedures as far as electronic signatures are concerned, thereby increasing the coherence with EU legislation.

8. PREFERRED OPTIONS

8.1. Preferred options

8.1.1. Expanding and clarifying the categories of cases falling under the simplified procedure

In view of the above, the preferred option as regards expanding and clarifying the categories of simplified cases falling under the simplified procedure is the cumulative introduction of Options 1a, 1b, 1c, 2a, 2b, 2c and 3. The combination of these Options is the most effective in better targeting the merger review process and reducing costs for businesses and the Commission. Therefore, this combination is also the most efficient. It is also coherent with other EU merger control rules. This combination would have a neutral or limited positive impact on the internal market and a significant positive impact on reducing costs and burdens for businesses and the Commission.

Expanding and clarifying the categories of cases falling under the simplified procedure				
Baseline and Options	**Effectiveness**		**Efficiency**	**Coherence**
	Better target the merger review process	**Reduce the administrative costs and burdens of the merger review process**		
Baseline	0	0	0	0
Option 1(a)	+	++	++	0
Option 1(b)	+	++	++	0
Option 1(c)	+	+	+	0
Option 2(a)	+	+	+	0
Option 2(b)	+	+	+	0
Option 2(c)	+	+	+	0
Option 3	++	+/-	+/-	++
Combination of options 1(a) 1(b), 1(c), 2(a),2(b),2(c) and 3	+++	+++	+++	++

8.1.2. Streamlining the review of cases treated under the simplified procedure

In view of the above, the preferred option as regards streamlining the review of cases treated under the simplified procedure is the cumulative introduction of Options 2 and 3.

The combination of these Options is more effective in better targeting the merger review process and reducing costs for businesses and the Commission than a possible combination of Options 1 and 2 or 1 and 3. Therefore, the combination of Options 2 and 3 is also the most efficient. It is also coherent with other EU merger control rules. This combination (like each of Options 1, 2, and 3 standalone) would have a neutral impact on the internal market and a significant positive impact on reducing costs and burdens for businesses and the Commission.

Streamlining the review of cases treated under the simplified procedure				
Baseline and Options	**Effectiveness**		**Efficiency**	**Coherence**
	Better target the merger review process	**Reduce the administrative costs and burdens of the merger review process**		
Baseline	0	0	0	0
Option 1	+/-	+	+	0
Option 2	+	++	++	0
Option 3	+	++	++	0
Combination of Options 1 and 2	+	+++	+++	0
Combination of Options 1 and 3	+	+++	+++	0
Combination of Options 2 and 3	++	++++	++++	0

8.1.3. Streamlining the review of cases treated under the normal procedure

In view of the above, the preferred option as regards streamlining the review of cases treated under the normal procedure is the cumulative introduction of Options 1 and 2.

Expanding and clarifying the categories of cases falling under the normal procedure				
Baseline and Options	**Effectiveness**		**Efficiency**	**Coherence**
	Better target the merger review process	**Reduce the administrative costs and burdens of the merger review process**		
Baseline	0	0	0	0
Option 1	++	++	++	0
Option 2	++	+	++	0
Combination of options 1 and 2	++++	++++	+++	0

8.1.4. Electronic transmission of documents

In view of the above, the preferred option as regards electronic transmission of documents is Option 2.[50] Option 2 provides flexibility and time savings by enabling notifying parties to notify a merger sooner, without the need to print and post to the

[50] While not tested per se in this impact assessment process, Option 2 is also clearly preferable from a sustainability perspective. Whereas Option 1 would still require paper copies, Option 2 provides for a paperless notification system. As such, the process would naturally become more environmentally friendly.

Commission large amounts of paper. At the same time, by abolishing the need for a paper copy, there is no multiplication of efforts as there is only one notification, the electronic one, and the costs of printing and posting are abolished. Option 2 would have a neutral impact on the internal market and a significant impact on reducing costs and burdens for businesses and the Commission.

Streamlining the review of cases treated under the simplified procedure				
Baseline and Options	**Effectiveness**		**Efficiency**	**Coherence**
	Better target the merger review process	**Reduce the administrative costs and burdens of the merger review process**		
Baseline	0	0	0	0
Option 1	+/-	-	+	+
Option 2	0	++	++	+

8.2. Refit and Attempt to quantify cost saving (one in, one out approach)

Compared to the currently applicable Notice on a Simplified Procedure and Implementing Regulation including its annexes, the above-mentioned preferred policy options do not impose any new burden on businesses. To the contrary, as detailed in sections 6 and 7, the preferred options will streamline the merger review process by increasing the number of cases and markets falling under the simplified procedure, streamlining information requirements for simplified and non-simplified cases and allowing electronic transmission of documents.

This section focuses on cost savings stemming from expanding and clarifying the scope of the simplified procedure and streamlining the review of simplified cases, as these are the options with greater impact on cost savings for businesses. It should be noted from the outset that while savings for businesses involved in a notification (notifying parties) are significant, the aggregate impact of this initiative on businesses is limited, given the relatively small number of companies compared to the number of overall existing companies that notify a transaction to the Commission every year in the last 5 years, there have been less than 400 notifications per year, which include most often only one notifying party. Moreover, the additional number of cases captured by the simplified procedure will be limited.

The Commission has attempted to quantify in monetary terms the cost savings for businesses, asking stakeholders on several occasions to quantify these benefits and cost reductions. However, it proved impossible to collect sufficient quantitative evidence on the costs and benefits of the identified policy options. The fact that it was not possible to quantify this type of costs and benefits had already become apparent during the Evaluation of procedural and jurisdictional aspects of EU merger control which preceded this impact assessment.[51] During the impact assessment, several stakeholders identified

[51] See Commission Staff Working Document – Evaluation of procedural and jurisdictional aspects of EU merger control, para. 75 (available at https://ec.europa.eu/competition/consultations/2021_merger_control/SWD_findings_of_evaluation.pdf).

the benefits and cost reductions resulting from the simplification/streamlining of merger procedural rules. As explained in section 6, the Commission asked stakeholders on several iterations to quantify these benefits and cost reductions, but the data received did not include sufficient information or data to accurately estimate costs savings in terms of time or money.

As explained in more detail in section 6, while it is clear that it is impossible to quantify costs savings precisely, it can be concluded that as a result of the simplification and streamlining of merger control procedures, for each case that would fall under the simplified procedure, and possibly also the non-simplified procedure, the notifying parties could save several hundreds of thousands of euros.

With regard to expanding and clarifying the scope of the simplified procedure, the preferred option would capture approximately 11 additional cases under the simplified procedure, which is 9.5% of the non-simplified cases and 2 percentage points of the overall number of cases treated under the simplified procedure. Furthermore, for non-simplified cases it would capture a very significant number of markets/segments that would not need to be assessed in-depth. In particular, approximately 14% of all horizontal overlaps and up to 19% of all vertical relationships assessed under the normal procedure in the period assessed could have benefitted from the different options, and thus a detailed assessment and market investigation would not have been required for these markets.

In terms of costs, as concluded in the Evaluation, increasing the number of simplified cases reduces costs for businesses and the Commission alike. The Commission estimates that, for the Commission, introducing the preferred option could save more than 700 additional working days for the period 2023-2029.[52]

With regard to savings for the parties to a concentration, the costs of an EU merger notification include notably those resulting from preparing, drafting and submitting an EU merger notification and from waiting for approval before implementing the transaction. These costs may vary significantly depending on the scope and size of the transaction, the number of markets involved or the complexity of the case. Due to those complexities, the Commission was only able to use two rough proxies for the cost reductions in the evaluation and therefore it is not possible to quantify in monetary terms:

(i) the average length of the notification documents: the information required to submit a notification under the simplified procedure is significantly less than that required under the normal procedure and less burdensome to collect for the Parties;
(ii) the average time needed to obtain a clearance decision: the waiting period until clearance entails costs for firms, notably in terms of financing costs and in terms of delaying the realisation of any benefits resulting from the operation. The evaluation concluded that parties to concentration saved on average more than 25 working days

[52] This would be an estimation of cost saving based only on the additional number of simplified cases. This would be a very conservative estimate, as it does not include the savings resulting from the number of markets which the Commission would not assess in non-simplified cases.

(that is to say more than 5 calendar weeks) overall (including pre-notification and notification) in cases treated under the simplified procedure.

Therefore, increasing the number of cases that will be reviewed under the simplified procedure has a significant positive impact in terms of administrative cost reductions for the parties to concentration. This was confirmed by the large majority of private stakeholders that considered that the introduction of the preferred option would be beneficial and consider that it would bring a moderate to significant reduction of administrative burden and costs for businesses in response to the Public Consultation.

With regard to streamlining the review of simplified cases, the preferred option will allow notifying parties to provide less information on the jurisdictional aspects of their concentration. This means that they can notify faster their concentration and in most cases receive faster unconditional clearance. Moreover, notifying parties will provide no or less information on the activities of the parties (depending on whether there is a horizontal overlap/vertical relationship or not). This means that they can notify faster their concentration and in most cases receive faster unconditional clearance.

The vast majority of respondents to the Public Consultation stated that the preferred option could lead to a "*moderate*" or "*significant*" reduction in the amount of information that the businesses concerned have to submit with their notification and would also result in a *"moderate"* or *"significant"* reduction of average time needed to obtain a clearance decision in unproblematic cases. More recently, a competition law news service estimated that the preferred option "*could cut merger clearance timelines by more than half on some deals*" for simplified cases where the transaction does not give rise to horizontal overlaps or vertical relationships.[53] Public and private stakeholder respondents to the Consultation of Stakeholders confirmed this. In particular, the super-simplified procedure was welcomed as "*a clear relief for companies*" by one association of private stakeholders.

In the same vein, the Commission's internal research[54] suggests that the preferred option would allow to significantly reduce the duration of pre-notification contacts in simplified cases. In more than 65% of the simplified cases notified between June 2021 and May 2022[55], the Commission asked pre-notification questions to the parties on the jurisdictional aspects of the case. In a significant part of those cases (46/134 – 34%), the questions on jurisdiction represented half or more of the total number of questions sent, including eight cases of extra-EEA joint ventures (with no activities and no impact in the

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53 PaRR, "EC 'super-simplified' proposal could cut merger clearance timelines by more than half on some deals", 17 May 2022.

54 In order to gather relevant data on impacts resulting from the preferred option at the level of the Commission, the Commission modified the internal data collection.. New data was collected in order to verify the total number of questions on jurisdictional aspects that Commission case teams were sending to the parties in pre-notification, in cases handled under the simplified procedure. The aim was to measure, between June 2021 and May 2022, the percentage that questions on jurisdictional aspects accounted for in the overall number of questions asked by Commission case teams in pre-notification in simplified cases.

55 Based on information from to internal data collection.

EEA) where *all* the questions asked concerned the jurisdictional assessment. In simplified cases where the transaction does not give rise to horizontal overlaps or vertical relationships between the activities of the parties, the notifying party would have to tick the relevant box without submitting any further documentation or evidence. This significantly reduces the administrative burden for the notifying parties and, also important, it eliminates the need for pre-notification contacts (which on average lasted 33 working days for simplified cases)[56].

With regard to streamlining the review of non-simplified cases, the notifying parties will provide less information, as some sections have been deleted from the notification forms and the use of waivers for certain section has been facilitated. Moreover, the notifying parties will have to provide less information for markets falling under the flexibility clauses. This positive effect is reflected in the reaction of private actors: In response to the Public Consultation, the large majority of the respondents ticked moderate to significant savings if these two options were introduced.

With regard to the electronic transmission of documents, there will be only one copy of the notification and all transmissions of documents to and from the Commission would take place in principle electronically. There would be no need to print large amounts of documents and submit them to the Commission. Not having to produce and submit large amounts of paper would make the notification process much more efficient and produce time savings since the legal notification can take place earlier. The feedback from stakeholders received in response to the Public Consultation regarding the impact on businesses and enforcement authorities was also confirmed by the responses to the Consultation of Stakeholders. Both private and public respondents expressed unanimous support for the introduction of electronic transmission of documents. In addition, companies will benefit from additional cost savings, as the printed notifications will not need to be posted to Brussels, although these savings are impossible to quantify based on the information available.

9. HOW WILL ACTUAL IMPACTS BE MONITORED AND EVALUATED?

In terms of monitoring and evaluation, as a preliminary note it should be mentioned that throughout the evaluation and impact assessment process, while the Commission was able to collect some qualitative elements pointing to the benefits of this initiative (that have been included in this report), it has overall proved impossible to quantify the benefits that businesses derive from being able to use the simplified procedure for more cases, and to quantify the costs that would be saved. Similarly, it is also impossible to quantify how the rules facilitate the enforcement work of the Commission. As a result, it is not possible to provide quantitative monitoring indicators that would allow the Commission to evaluate how these benefits and costs are affected by the revised rules.

Nevertheless, the Commission considers that certain metrics could be employed to measure success of this initiative. With this initiative, the Commission aims at increasing

[56] Based on data from the period 2012-2021 and taking into account the period between the case team allocation form and the notification.

the number of cases treated under the simplified procedure by at least 2 percentage points on average in the next years, reaching at least 80% of all cases notified. With regard to the normal procedure, up to approximately 14% of all horizontal overlaps and up to 19% of all vertical relationships assessed under the normal procedure could benefit from the different new categories of cases falling under the simplified procedure, and thus a detailed assessment and market investigation would not be required for these markets.

The Commission plans to continuously monitor how the revised rules are functioning and whether they achieve the policy objectives identified in this Impact Assessment. Monitoring will be done through analysing, most likely on an annual basis (as is currently done), the cases received and dealt with within the EU merger control framework, collecting *inter alia* information on the number of simplified cases, interventions, and overall working time on all cases.

In order to measure this, the Commission is in the process of procuring a new database containing quantitative and qualitative information on the Commission's past merger decisions. In addition, the Commission will revise its internal data collection to gather relevant information on the different categories of simplified cases and the application of the flexibility clause, for cases falling under the simplified and normal procedure. With these two tools, it will be possible to monitor the effectiveness of the revised procedural rules on a yearly basis.

In particular, these new tools will allow the Commission to identify the number of simplified cases in which the decision of the Commission is based on one of the new or modified categories, as well as the number of markets in normal cases benefitting from the introduction of the flexibility clause into the Form CO.

A comparison of the results pre- and post-simplification could demonstrate benefits such as a decrease in normal cases (mirrored by an increase in simplified cases), an overall decrease in working hours on non-intervention cases (showing that proportionally more resources are available for complex cases) as well as the overall easiness of working electronically and the significantly reduced paperwork flow in that regard.

As regards administrative costs savings for businesses, the Commission will continue monitoring the two proxies used in this IA report to approximate costs savings for businesses, namely, the average length of pre-notification and the average time needed to obtain a clearance decision.

With regard to electronic notifications, the Commission expects to receive all notifications electronically with very few exceptions. DG Competition will closely monitor the number and size of notifications and other submissions that make use of the back-up mechanism. In addition, DG Competition will monitor through statistics how easy or difficult it is for notifying parties to sign using a Qualified Electronic Signature ("QES") as required by the eIDAS Regulation, and how easy or difficult it is for DG Competition to validate a QES in order to formally accept a given submission or notification of a merger transaction.

Finally, the Commission will also continue to engage directly with stakeholders, e.g. via informal discussions, in order to understand any difficulties encountered by businesses

when applying the revised rules and to assess whether these rules provide an appropriate level of legal certainty. In this context, the number of consultations on the one hand, and the amount of necessary requests for information to parties for further information on the other, will also be an indication of the appropriateness of the new system.

After sufficient implementation data is available and if the monitoring points to significant shortcomings, an evaluation would be carried out.

ANNEX 1 - PROCEDURAL INFORMATION

1. LEAD DG, AGENDA PLANNING/WORK PROGRAMME REFERENCES

The Directorate-General for Competition of the European Commission ("DG Competition") is the lead DG for the initiative to further simplify and streamline EU merger control procedures, and the review of Commission Notice on a simplified procedure for treatment of certain concentrations under Council Regulation (EC) No 139/2004, 14.12.2013 (OJ C366/5) (the 'Notice on Simplified Procedure'), Commission Regulation (EC) No 802/2004 of 21 April 2004 implementing Council Regulation (EC) No 139/2004 on the control of concentrations between undertakings (OJ L 133, 30.04.2004, p.1) as amended (the "Implementing Regulation") and its annexes comprising the various notification forms (Form CO, Short Form CO, Form RS and Form RM, together "the Annexes") in that context.

The initiative was registered in the Decide Planning with the reference PLAN/2021/10594.

2. ORGANISATION AND TIMING

In March 2021, DG Competition finished its evaluation of procedural and jurisdictional aspects of EU merger control, covering among other matters also the simplification and streamlining of EU merger control procedures.

On 26 March 2021, the Inception Impact Assessment ("IIA") was published. It presented the consultation activities that would be conducted by DG Competition, notably public consultations and discussions with stakeholders, which include private and public bodies as well as the National Competition Authorities of the European Economic Area ("NCAs"). As regards the consultations specifically, a first public consultation took place from 26 March 2021 to 18 June 2021 to gather feedback on the policy options considered, and a second consultation of stakeholders was launched from 6 May 2022 to 3 June 2022 to allow stakeholders to comment on the draft revised regulatory texts. A third targeted consultation of stakeholders took place from 5 to 19 October 2022 on a proposed modification to Article 9 of the Implementing Regulation.

The impact assessment of the Notice on Simplified Procedure, Implementing Regulation and its Annexes was carried out in close cooperation with other interested Commission services. The inter-service steering group ("ISSG") set up for that purpose comprised representatives of the Directorates-General CNECT, DEFIS, DIGIT, ECFIN, ENER, ENV, GROW, HOME, JUST, MOVE, REGIO and TRADE as well as the Secretariat-General and the Legal Service, which are associated by default to any such initiative. In total, four ISSG meetings will have taken place in the context of this initiative.

The impact assessment of the Notice on Simplified Procedure, Implementing Regulation and its Annexes was also carried out in close cooperation with the

NCAs, which were consulted on the policy options as well as on the draft revised rules.

The different milestones of the impact assessment phase are reflected in the table below:

Timing	Step
9 March 2021	Launch of the evaluation in the Commission's Decide Planning
16 March 2021	First ISSG meeting with the following agenda items: - IIA - Questionnaires - Consultation strategy
26 March 2021	Publication of IIA and launch of 12 week public consultation period
August / September 2021	Publication of summary of public consultation feedback
11 October 2021	RSB upstream meeting
20 October 2021	Second ISSG meeting with the following agenda items: - Update on public consultation summary - Presentation of revised laws for consultation of stakeholders
6 May 2022	Publication of the revised draft Notice on Simplified Procedure, Implementing Regulation and its Annexes and launch of 4 week consultation of stakeholders
23 September 2022	Third ISSG meeting with the following agenda items: - Update on feedback consultation of stakeholders - Discussion on draft Impact Assessment Report
26 October 2022	Consultation of the Regulatory Scrutiny Board ("RSB")
28 October 2022	Positive Opinion of the RSB
30 November 2022	Fourth ISSG meeting with the following agenda item: - Update on RSB meeting and explanation on follow-up

3. CONSULTATION OF THE REGULATORY SCRUTINY BOARD

The meeting with the RSB took place on 26 October 2022. The outcome was a positive opinion, issued on 28 October 2022. The following table provides information on how the comments made by the RSB were addressed:

RSB comments	Action taken
The report does not sufficiently explain the need to still allow for paper format notifications.	Additional explanations on why a back-up mechanism in paper format is needed have been included in section 5.
The report does not indicate when an evaluation would be carried out.	The Report now clarifies that the Commission plans to continuously monitor how the revised rules are functioning and whether they achieve the policy objectives, with reporting

	most likely done on an annual basis.
The report should better justify why it retains the possibility of paper format notifications and explain how this is compatible with the 'digital by default' principle.	Additional explanations on why a back-up mechanism of notifications in paper format is needed have been included in section 5.
The report should explain what success of the initiative would look like and on the basis of which monitoring indicators progress would be measured.	Additional explanations on what success of the initiative would look like and monitoring indicators have been included in section 9.
It should indicate when an evaluation is planned to determine to what extent the objectives of the revision are being met.	Certain metrics have been inserted in section 9, which will be used to measure success of this initiative, as well as the method to obtain the necessary underlying data.
The report refers to significant administrative burden reduction from the measures under consideration. Since quantification was not possible, the report should clarify what the evidence basis is for describing the cost savings as 'significant'. It should qualify this by better highlighting that savings for individual cases may be significant, but the aggregate impact of the initiative is likely to be limited given the small number of additional cases that will be captured under the simplified procedures.	It has been highlighted that aggregate impact will be limited given the small number of additional cases and additional data on cost savings has been included in the sections 6 and 8.
The report should better explain the system current in place and clarify some of the more technical terms/aspects.	The introductory section 1 has been expanded to explain better the current merger control system in place. Missing technical terms have been added to the glossary.

4. EVIDENCE USED IN IMPACT ASSESSMENT

DG COMP's impact assessment is based on a wide body of evidence, from various sources including (i) evidence gathered previously, and mainly in the context of the Commission's evaluation of procedural and jurisdictional aspects of EU merger control, (ii) the results of the three consultations DG COMP launched in the context of this initiative, (iii) discussions with NCAs, and (iv) the results of DG COMP's internal research.

4.1. Evidence gathered in the context of the Commission's evaluation of procedural and jurisdictional aspects of EU merger control

The evidence gathered in the context of the Commission's evaluation of procedural and jurisdictional aspects of EU merger control indicates that the 2013 simplification package has met its objective of widening the scope of the simplified procedure, as the number of cases treated under this procedure. However, it also revealed that there is still some room to further streamline the enforcement by the Commission of EU merger control, without introducing legislative changes to the EU Merger Regulation ("EUMR"). More particularly, the Evaluation showed that there may be some scope for further expansion of the categories of simplified cases, or for introducing additional flexibility to the review of cases under the simplified procedure. It also showed that the system may also benefit from further clarifications and reductions of the information requirements. Indeed, while the Commission has had overall positive experiences with the updated notification forms in its case practice, some shortcomings were identified relating to the notification forms themselves, as well as to the use of information requests.

4.2. Results of the consultations

In the context of the impact assessment, DG COMP launched three public consultations. More concretely, the Commission launched a first public consultation from 26 March 2021 to 18 June 2021 (the "Public Consultation"), covering different options considered for further targeting and simplifying its merger review, for both simplified and - where possible - non-simplified merger cases, without compromising effective merger enforcement. Then, following the assessment of the feedback received during the Public Consultation and further internal research, the Commission reviewed the Implementing Regulation and the Notice on Simplified Procedure and prepared revised draft legal texts on which it launched a second consultation of stakeholders from 6 May 2022 to 3 June 2022 (the "Consultation of Stakeholders"). A third targeted public consultation took place from 5 to 19 October 2022 on a proposed modification to Article 9 of the Implementing Regulation.

The Commission analysed carefully but critically all stakeholder feedback, recognising that not every view reflects the opinion of all stakeholders. The Commission also sought to confirm whether a particular view was held by all or by only specific categories of stakeholders. All results gathered in this exercise were taken into account in the impact assessment.

4.3. Discussions with NCAs

The views of NCAs were sought in the context of the three consultations, and NCAs were also frequently consulted in the context of Merger Working Group meetings (i.e., regular meetings between the Commission and the NCAs) during which they were invited to provide feedback on all aspects of the initiative. All feedback received was taken into account in the impact assessment.

4.4. Results of DG COMP's internal research

DG COMP carried out extensive internal research in order to assess the proposals made. In particular, the Commission reviewed: (i) the intervention cases[57] in 2015-2020 in order to assess the risks of introducing new categories of simplified cases and (ii) all normal (non-simplified) cases in January 2020-June 2021 in order to quantify the benefits of the introduction of new categories of simplified cases.[58]

Furthermore, the Commission modified the internal data collection used in simplified and normal cases in order to gather relevant information on current cases. For instance, the Commission calculated the total number of requests for information sent in pre-notification in simplified cases and the number of questions on jurisdictional issues and on substantive assessment.

The results of this internal research were fed into the impact assessment.

5. EXTERNAL EXPERTISE

DG COMP did not commission expert advice in the context of this initiative to inform the impact assessment, as it was able to gather all required evidence otherwise.

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57 Namely, prohibitions and conditional approvals.

58 The Commission used this research to estimate the number of unproblematic cases and/or markets that would have benefitted from a simplified/streamlined review based on the new categories proposed.

ANNEX 2 - STAKEHOLDER CONSULTATION

This annex presents the results of the consultation activities conducted in the context of the impact assessment of the Commission's initiative on simplifying and streamlining EU merger procedural rules.

As explained in the context of the First Public Consultation,[59] the Commission mapped the target audience for the different consultation activities similarly as for the consultations conducted during the evaluation. The Commission thus identified the following stakeholder groups as being similarly interested in (and also similarly affected by) the impact assessment of the merger simplification/streamlining initiative:

- Public stakeholders (including national competition authorities ("NCAs") or government bodies);
- Law firms;
- Companies; and
- Other private stakeholders (including business associations, consumer associations, and other private stakeholders).[60]

The various consultation activities that the Commission conducted in the context of the impact assessment of the Commission's initiative on simplifying and streamlining EU merger procedural rules are the following:

- a consultation on the inception impact assessment ("IIA");
- an open public consultation based on an online questionnaire (the "First Public Consultation");
- an open public consultation based on a draft revised Implementing Regulation (and its Annexes and accompanying document) and a draft revised Notice on Simplified Procedure (together, the "draft revised legal documents") (the "Second Public Consultation").

The different consultation activities mentioned in this annex aimed to gather input from stakeholders on policy options proposed for the simplification/streamlining of EU merger procedural rules and also on possible combinations of these policy options.

2.1. Consultation on the Inception Impact Assessment

The Commission published the IIA on the Commission's initiative on simplifying and streamlining EU merger procedural rules on 26 March 2021. The Commission received 5 submissions as feedback to the IIA: 1 from a public stakeholder; 2 from companies; and 2 from other private stakeholders (business associations), who welcomed the proposals made and supported the initiative. Moreover, some stakeholders referred to other topics outside the scope of the IIA, such as the new Guidance on Article 22 referrals published by the Commission on 26 March 2021 and substantive topics such as the challenges of globalisation or digitalisation for EU merger control.

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59 See Commission Staff Working Document – Evaluation of procedural and jurisdictional aspects of EU merger control, Annex 4 (available at https://ec.europa.eu/competition/consultations/2021_merger_control/SWD_findings_of_evaluation.pdf).

60 See Summary of Replies to the Public Consultation on Further Simplification of Procedures, paragraph 3 and fn. 2, Ares(2021)7473298.

2.2. First Public Consultation on the basis of an online questionnaire

A summary report of this open public consultation was published on December 2021.[61]

i. Introduction

On 26 March 2021, the Commission launched a 12-week public consultation to gather stakeholders' views on the different policy options considered for the simplification/streamlining of EU merger procedural rules.

The public consultation was based on a detailed online questionnaire with 57 questions, many of them included sub-questions and multiple choice answers. The online questionnaires aimed to glean the view of stakeholders on the options considered by the Commission in its IIA published on 26 March 2021.

To gather the widest possible range of comments, the public consultation was open for all stakeholders interested in providing their views on the different areas covered by the online questionnaire. While the online questionnaire was published in English, French and German, participants could reply in any of the official languages of the EU.

ii. Profile of respondents

The Commission received 42 replies to the online questionnaire; 8 contributions from law firms, 12 from companies and 18 from other private stakeholders (including business associations and consumer associations). Two contributions were received from NCAs and two from a government bodies. ***Figure 1*** shows the breakdown of these replies by type of stakeholder. The vast majority of the contributions were submitted in English, French or German.

Figure 1 – First Public Consultation Respondents Breakdown



[61] Available at https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/12957-Merger-control-in-the-EU-further-simplification-of-procedures/public-consultation_en.

iii. Contributions

a. Expanding and clarifying the categories of simplified cases

The public consultation asked for feedback on different options to expand the categories of simplified cases (as set out in Section 6 of this report).

I. Flexibility clause

The First Public Consultation explored the possibility to introduce a flexibility clause in certain cases, for instance if the current market share thresholds of the Simplified Notice are exceeded only slightly or in cases of joint ventures with turnover or assets value slightly exceeding EUR 100 million but that raise no competition concerns.

In response to the First Public Consultation, both private and public respondents expressed unanimous support for the introduction of a flexibility clause for these types of cases as they are perceived as generally unproblematic.

Moreover, a few law firms and other private stakeholders called for even greater flexibility for case teams in these situations. As regards overlap cases, some stakeholders proposed to increase the flexibility thresholds further (e.g. up to 30% for horizontal overlaps) or even to give the Commission discretion to treat under the simplified procedure cases where the thresholds are exceeded without any market share limit, where it is clear that the transaction will not have any appreciable effect on competition. Other stakeholders pointed out that sometimes the Commission excluded a treatment under the simplified procedure for cases where market shares exceeded the thresholds on very narrow alternative and purely hypothetical market segments and definitions, both from a product and geographic perspective. A few private stakeholders also called for greater flexibility when dealing with small joint ventures by increasing the turnover and assets thresholds further (e.g. up to EUR 250 million in alignment with Article 1(2)(a) EUMR, or up to EUR 400 million).

The large majority of private respondents considered that the introduction of the flexibility clause for these transactions would be beneficial and considered that it would bring a moderate to significant reduction of burden and costs for businesses (with only a few stakeholders indicating that it would only bring a negligible reduction). The only public authority that replied to this question considered that it would bring a significant reduction of the burden and costs for companies and the Commission.

II. New vertical categories

II.1. Highly asymmetric market position upstream and downstream

The private and public stakeholders that responded to the First Public Consultation expressed quasi-unanimous support to the introduction of this category, as they consider these cases are generally unproblematic and advocated for the introduction of the highest thresholds proposed (i.e. 50% upstream or downstream and 10% in the other vertically related market).[62] However,

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62 In the IIA, the Commission proposed four options: 1.- 50% upstream and 10% downstream or vice versa (i.e. 10% upstream and 50% downstream); 2.- 50% upstream and 5% downstream or vice

one public stakeholder considered that it is not possible to conclude that a foreclosure strategy is not feasible because market shares in the upstream or downstream market are low, as this is a complex analysis in which several factors should be considered. In a similar vein, another private stakeholder considered that an important input on the upstream market can be used to grow the position on the downstream market.

The large majority of private respondents considered that the introduction of the category of highly asymmetric positions upstream and downstream would be beneficial and consider that it would bring a moderate to significant reduction of burden and costs for businesses (with only a few stakeholders indicating that it would only bring a negligible reduction). The public authority that replied to this question considered that it would bring a significant reduction of the burden and costs for companies and the Commission.

II.2. Low purchasing market share

Private and public stakeholders responding to the First Public Consultation expressed unanimous support to the introduction of this category, as they consider that these cases are generally unproblematic. As regards the specific thresholds, a law firm advocated for the introduction of a higher threshold for the purchasing share, as 10% was perceived as too low.[63] This stakeholder further explained that for customer foreclosure concerns only the purchasing share is relevant, as the market shares in the downstream market are not an indicator of the importance of a company as a customer. Following this reasoning, the stakeholder suggested that no upper limit should be introduced for the market shares in the downstream market and that the purchasing share be increased to 30%. It should be noted that, in the same vein, the majority of respondents considered that this category is unproblematic regardless of the market share downstream.

Most private respondents considered that the introduction of the category of low purchasing share would be beneficial and consider that it would bring a moderate to significant reduction of burden and costs for businesses (with only a few stakeholders indicating that it would only bring a negligible reduction). The public authority that replied to this question considers that it would bring a moderate reduction of the burden and costs for companies and the Commission.

II.3. Limited increment to pre-existing vertical integration

In the First Public Consultation, private stakeholders and public authorities that responded expressed unanimous support for the introduction of this category, as they consider that these cases are generally unproblematic. In fact, some stakeholders advocated for introducing a higher threshold for the HHI increment or suggested to use marker shares ranges instead of an HHI increment.

Most private respondents considered that the introduction of the category of limited increment to pre-existing vertical integration would be beneficial and considered that it would bring a moderate to significant reduction of burden and costs for the businesses (with only a few stakeholders indicating that it would only bring a negligible reduction). The public authority that

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versa; 3.- 40% upstream and 10% downstream or vice versa; 4.- 40% upstream and 5% downstream or vice versa.

63 The IIA consulted on several options: in all the proposed options the combined market share in the upstream market cannot exceed 30%. The maximum combined market shares for the downstream market could be either 50% or 100% and the purchasing share could be either up to 5% or 10%.

replied to this question considered that it would bring a significant reduction of the burden and costs for companies and the Commission.

III. Additional safeguards

Paragraphs 8 *et seq* of the existing Notice on Simplified Procedure describe "safeguards and exclusions" from the simplified procedure. These are factors or circumstances which, if present, may prompt the case team to assess under the normal procedure a concentration which *a priori* fell under a simplified case category.

The First Public Consultation explored whether additional safeguards would be required to ensure that cases that would merit a closer examination are not dealt with under the simplified procedure, but more in detail in a normal procedure.

During this public consultation, in particular questions have been asked about the potential impact on competition of the following factors:

a. Number of competitors remaining in each market.
b. Strength of the competitors remaining, including whether their market share exceeds the increment brought about by the transaction.
c. The relevant thresholds are exceeded in terms of capacity shares or production shares.
d. One of the parties to a concentration is a recent entrant (entered the market in the last three years).
e. One of the parties to a concentration is an important innovator in the overlapping markets.
f. The transaction gives rise to pipeline-to-pipeline or pipeline-to-marketed products.
g. Vertical overlaps exceed thresholds in distant levels of the value chain.
h. The activities of the parties to a concentration overlap in highly differentiated products.

The majority of public and private stakeholders responding to this question considered that all these factors[64] can have a potential or likely impact on competition in certain cases.

However, some stakeholders consider that none of the factors taken in isolation could have an impact on competition and/or that the mere fact that a case falls below the market share thresholds foreseen in the Notice on Simplified Procedure suffices to conclude that it is not problematic in the vast majority of cases.

Conversely, a few stakeholders considered that additional safeguards should be included for the digital economy, where dynamic aspects and potential competition play a bigger role than just looking at static market shares. Other stakeholders mentioned that additional safeguards could be introduced for vertical transactions involving nascent competitors or transactions which would allow to leverage on data.

b. Streamlining review of simplified cases

The First Public Consultation asked for feedback on three policy options to further streamline the review of simplified cases (as set out in Section 6 of this report).

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64 With regard to the factor that the activities of the merging parties overlap in highly differentiated products, half of the respondent consider that this factor will have an unlikely impact on competition in all cases, while the other half consider it may have a potential or likely impact in certain cases.

Only three public stakeholders commented on these options but without expressing strong opinions. As a result, this section will focus on the feedback provided by private stakeholders.

Private stakeholders generally welcomed the proposals to further streamline the review of simplified cases. A majority of private respondents considered that the current information requirements in simplified cases are disproportionate and that the Short Form CO is not easy to fill in. As a result, most respondents welcomed the proposal to replace the Short Form CO by a tick the box form, either for some parts or in full. Respondents expressed a clear preference for options 2 and 3 which combine a tick the box form with a streamlined review of the Commission's jurisdiction (Option 2) and of the competitive assessment for certain categories of simplified cases (Option 3). Most respondents considered that Option 1 would bring no or only a moderate burden reduction at best.

Stakeholders responding to the consultation generally considered that sections 1-4 of the Short Form CO[65] could mostly benefit from a streamlined tick the box form. One stakeholder indicated that "*descriptive text addressing information relevant for jurisdictional assessment supplemented by underlying evidence isn't necessary and could easily be replaced with a tick-the-box list of statements of basic relevant facts*." As regards the substantive assessment sections, several stakeholders generally commented that the readability and structure of the Short Form CO would improve if there were only one section on market information including market definitions, and market share information.

Stakeholders took the opportunity to comment on other aspects of the simplified review beyond the options proposed. In particular, many stakeholders voiced their concerns about the burden imposed by the obligation to provide certain internal documents in simplified cases where the parties' activities overlap and the obligation to provide market data under all plausible market definitions.

c. Streamlining review of non-simplified cases

The premise for the First Public Consultation on the streamlining of the review of normal cases were two options, namely (i) a modification of the structure of the Form CO in order to have separate sections for factual information and for advocacy (Option 1); and (ii) the identification of opt-out sections in section 8 of the Form CO (structure of supply in affected markets) to be waived at the request of the Parties if appropriate, on a case-by-case basis (Option 2).

Respondents to the First Public Consultation voiced generalised concerns about the excessive information requirements of the current Form CO, in particular for the majority of "simpler" (non-intervention) normal cases. Stakeholders did not support Option 1 but expressed generalised support for Option 2, either as a formalised waiver system with clearly identified "opt-out" categories of information and clear guidance on waiver requests or identifying "opt-in" information to be included in the Form CO only at the request of the case team.

A few stakeholders indicated that all the information requirements in Section 8 could potentially be removed in full and requested only when necessary in specific cases. Moreover, several stakeholders flagged repetitions in sections 6, 7 and 8 of the Form CO and asked for a more general streamlining of the Form CO.

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65 Description of the concentration, Information about the parties, Details of the concentration, ownership and control and Turnover.

d. Introducing electronic notifications

The First Public Consultation asked for feedback on two policy options to introduce electronic notifications (as set out in Section 6 of this report).

In relation to Option 1 for electronic notifications, some respondents assumed that the Commission would accept the electronic notification as the legally binding one, as opposed to the paper originals to be submitted at a later stage. Compared to the prepandemic situation whereby several paper copies of the notification had to be submitted, the vast majority of the respondents to the public consultation fully embrace a system of electronic notifications. A few stakeholders did not express an opinion.

However, stakeholders expressed their strong preference for a system of fully electronic notifications (Option 2 for electronic notifications), and expressed concerns about a system whereby electronic notifications would still need to be followed by paper originals.

2.3. Open Public Consultation on the basis of the draft revised legal texts

i. Introduction

On 6 May 2022, the Commission launched a 4-week Second Public Consultation to gather stakeholders' views on the draft legal texts which had been revised based on the preferred options identified in the course of the impact assessment procedure.

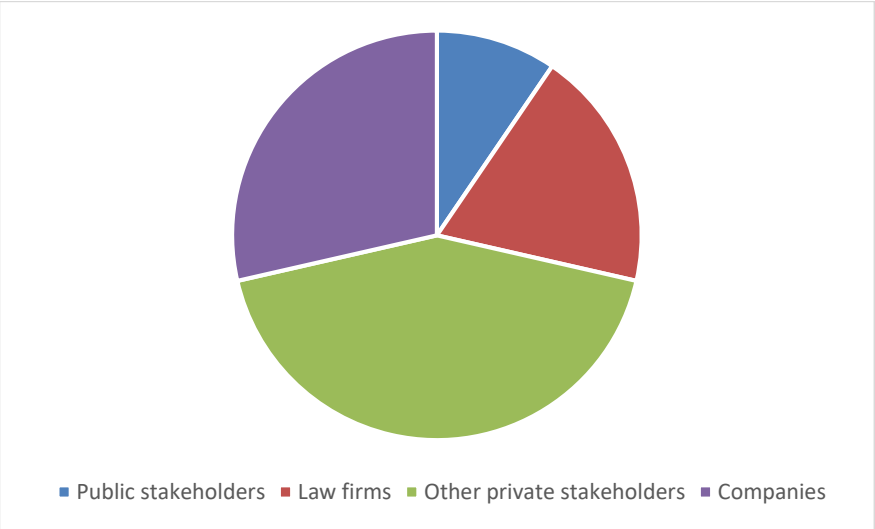
The Second Public Consultation was based on the draft revised legal texts which were made available on the Commission's website together with an Explanatory Note, describing the main changes that the Commission made. The draft revised legal texts and the Explanatory Note were made available in all the official languages of the EU.

To gather the widest possible range of comments, the Second Public Consultation was open for all stakeholders interested in providing their views on the draft legal texts. Participants could reply in any of the official languages of the EU.

ii. Profile of respondents

The Commission received 37 replies regarding the draft revised legal texts. ***Figure 2*** shows the breakdown of these replies by type of stakeholder. Concretely, 8 replies emanated from public stakeholders; 9 from law firms; 5 from companies; and 15 from other private stakeholders. The vast majority of the contributions were submitted in English, French, or German.

Figure 2 – Second Open Public Consultation Respondents Breakdown



iii. Contributions

a. Expanding and clarifying the categories of simplified cases

I. Flexibility Clause

I.1. Horizontal and vertical overlaps

Both private and public respondents expressed unanimous support for the introduction of a flexibility clause for horizontal overlaps with combined market shares between 20 and 25% and vertical relationships with combined market shares between 30 and 35%, as proposed in the draft revised legal texts.

Moreover, similarly to the First Public Consultation, a few private stakeholders called for even greater flexibility for case teams, by increasing the flexibility thresholds further (e.g. up to 30% for horizontal overlaps) or even to give the Commission discretion to treat under the simplified procedure any case in which it is clear that the transaction will not have any appreciable effect on competition. A significant number of private stakeholders and law firms pointed out that sometimes the Commission excluded a treatment under the simplified procedure for cases where market shares exceeded the thresholds on very narrow alternative and purely hypothetical market segments and definitions, both from a product and geographic perspective. Moreover, providing all this information is burdensome and sometimes unnecessary, as the cases are clearly unproblematic. Another point raised by a significant number of private stakeholders and law firms is that the case team should take a position regarding the applicability of the flexibility clause early in the process and avoid a late stage turn to the normal procedure. Some of them suggested to include a time limit by which the Commission would have to decide whether the simplified procedure applies. Finally, a few law firms and a private stakeholder considered that

further clarity on when the Commission will apply the flexibility clause would be beneficial. On the other hand, another private stakeholder considered it is clear.

I.2. JVs with limited turnover

With regard to the proposed flexibility clause for JVs with turnover and assets in the EEA between EUR 100 and EUR 150 million, both private and public respondents expressed unanimous support. A few law firms also called for greater flexibility by increasing the turnover and assets thresholds further to e.g. EUR 400 millions.

I.3. Highly asymmetric market positions

The private and public stakeholders that responded to the public consultation expressed unanimous support to the introduction of this category under the flexibility clause. A few private stakeholders pleaded for the inclusion of these types of cases as a default category rather than under the flexibility clause. On the other hand, a few public stakeholders welcomed the introduction of these cases under the flexibility clause and not as a default category, as a strong position upstream or downstream can be leveraged to grow quickly on the other market and the risk of foreclosure is a complex analysis in which several factors should be considered. Therefore, the Commission should retain sufficient flexibility to assess these cases under the normal procedure, in particular if some of the safeguards or exclusions apply.

II. New Vertical Categories

II.1. Low purchasing share

Private and public stakeholders responding to the public consultation expressed unanimous support to the introduction of this category.

II.2. Limited increment to pre-existing vertical integration

Private and public stakeholders responding to the public consultation expressed unanimous support to the introduction of this category.

A few private stakeholders considered that using a fixed market share increment (e.g. 3%) rather than HHI delta would bring more clarity. A law firm and a private stakeholder pleaded for a higher threshold (e.g. HHI delta of 200 or 250) by creating an additional flexibility category for cases with HHI delta between 150 and 250 or combined market shares between 50 and 55% for both vertical relationships and horizontal overlaps.

III. Other clarifications

A few private stakeholders and few law firms pleaded for the exclusion from the notification obligation for extra-EEA JV. A law firm considered that JVs with turnover below EUR 1 million should also be exempted. Another private stakeholder considered that JVs with turnover below EUR 150 million could be exempted from notification. A private stakeholder also pleaded for the exclusion from notification of non-overlap cases.

A law firm considered that the forecast for expected turnover should be limited to 1 year or remove it. In the same vein, a law firm considered that currently only expected turnover that would "significantly surpass" the threshold for simplified procedure is taken into account and it is only a possible cause of exclusion by the Commission from the simplified procedure not part of the threshold requirement itself.

IV. Safeguards and exclusions

Following the First Public Consultation, the Commission compiled a new list of safeguards in Section II.C. of the draft revised Notice on Simplified Procedure, in Section 11 of the draft revised Short Form CO and Section 7.4 of the draft revised Form CO, that were shared for feedback during the Second Public Consultation.

In the context of the Second Public Consultation, a number of private stakeholders and a few law firms - while overall supporting the proposed new approach on safeguards and exclusions - considered that the safeguards introduced are too broad and would imply additional and unnecessary burdens to the parties.

Similarly, a few private stakeholders and law firms, as well as a public authority, considered that it is not always straightforward for the parties to a transaction to be able to answer the questions listed in Section 11 of the Short Form CO with a simple ticked "yes" or "no", in particular when a substantive assessment is required. They also considered that a textual response would be required for some of them, increasing the burden on the notifying parties.

Overall, stakeholders considered that the Commission should retain only exclusion criteria (i) that are objective; (ii) that do not require disproportionate data gathering or otherwise impose an excessive burden on the parties to establish.

b. Streamlining review of simplified cases

The Second Public Consultation asked for feedback on the Commission's changes to the draft revised Short Form CO (Annex II to the draft revised Implementing Regulation).

Stakeholders generally welcomed the Commission's modifications in the Short Form CO. Positive feedback was received from stakeholders of all categories. Many stakeholders acknowledged the use of multiple choice questions in the draft revised Short Form CO, which make the notification format more manageable and less burdensome for parties to the concentration. Stakeholders also highlighted that in addition to the changes in the format and the content of the Short Form CO, the success of any simplification/streamlining initiative depends on the way the Commission applies the new rules. Several stakeholders added that the streamlined format of the Short Form CO should not prevent notifying parties from providing clarifications and explanations to the boxes they tick.

Stakeholders also took the opportunity to make comments regarding the Commission's existing procedural merger control rules (i.e., including points which did not change in the draft revised legal texts). For example, stakeholders noted that:

- The Commission should set a stricter time limit for reversion of simplified cases to the non-simplified procedure;
- The duration of pre-notification should be minimised;
- Clearance decisions on simplified cases should be adopted in a deadline shorter than the statutory deadline of 25 working days; and
- The Short Form CO should not require detailed information on "all plausible market definitions" and internal documents of the parties for simplified cases.

c. Streamlining review of non-simplified cases

The Second Public Consultation also asked for feedback on the Commission's changes to the draft revised Form CO (Annex I to the draft revised Implementing Regulation).

Stakeholders generally welcomed the Commission's modifications in the Form CO. Positive feedback was received from stakeholders of all categories.

Negative comments were received with regard to the following 2 points. A few private stakeholders took issue with the proposed modification to make the description of "data that each of the undertakings concerned collects and stores in the ordinary course of its business" a pre-requisite for the Form CO to be considered complete. These stakeholders found the information requirement burdensome for the notifying party and proposed to revert to the existing Form CO on this point.

A few private stakeholders were opposed to the lowering of a threshold above which information is required involving cases of potential competition with pipeline products. In the current Form CO, this concerns cases where any of the parties to the concentration has a market share larger than 30% and any other party to the concentration is a potential competitor in that market. The draft Form CO on which the second public consultation was launched proposed 20%, reflecting the increased importance of innovation in the assessment of mergers. Those stakeholders opposed noted that the relevant market share threshold should remain at 30% because concentrations that raise concerns around potential competition typically involve a dominant or near-dominant acquirer.

d. *Introducing electronic notifications*

The Second Public Consultation asked for feedback on the draft revised Implementing Regulation (which includes provisions on the digital transmission of documents) and the OJ Notice that will accompany the Regulation.

Both private and public stakeholders generally welcomed the initiatives regarding digital transmission and electronic signature of documents sent to the Commission. Stakeholders also praised the Commission's practice during the Covid-19 pandemic, which provided inspiration for the changes to the Implementing Regulation and for the OJ Notice.

A few stakeholders highlighted that there should still be a possibility to transmit documents to the Commission in hard copy (and with wet-ink signature) under exceptional circumstances. This exceptional possibility is indeed reflected in Article 22 of the draft revised Implementing Regulation and in an initial draft OJ Notice that was included in the Second Public Consultation for information purposes.

ANNEX 3 - WHO IS AFFECTED AND HOW?

1. Practical Implications of the Initiative

The initiative consists in revising the existing EU merger procedural rules, namely the Implementing Regulation (with its Annexes and accompanying documents) and the Notice on Simplified Procedure (together, the "legal texts"). As such, the initiative is largely a continuation of the existing rules, which the Evaluation fundamentally confirmed to be useful and relevant for stakeholders.

In the assessment of the practical implications of the initiative, it is important to recall that the legal texts do not impose any additional compliance obligations on businesses beyond those reflected in the EU Merger Regulation. On the contrary, the rules aim to facilitate the work of businesses that have to apply the EU Merger Regulation and notify their concentrations prior to implementation.

The revised legal texts will primarily have practical implications for businesses and, indirectly, the law firms and other professionals advising businesses on compliance with the EU Merger Regulation. The revised legal texts will also have implications for the NCAs and national courts. Indirectly, the revised legal texts will also affect consumers, but the initiative has no practical implications for them.

1.1. Businesses

The stakeholder group that would primarily be affected by the Commission's merger simplification/streamlining initiative is businesses, as they are the stakeholders that mostly use the legal texts regarding their concentrations. In practice, businesses use the Notice on Simplified Procedure to self-assess their concentrations and determine whether they should fall under the simplified or the non-simplified procedure. Businesses also use the Implementing Regulation and its Annexes to notify concentrations to the Commission, to refer cases to the Commission under Article 4(5) of the EU Merger Regulation, and/or to explain/describe the remedies proposed for concentrations that could give rise to competition concerns.

In the Evaluation of the current rules, the Commission found that stakeholders generally agreed that there was some, possibly limited, room to further simplify merger procedures and reduce red tape. The initiative to revise the legal texts addressed problems of scope, clarity, and complexity of the relevant rules. Additional clarity and rules that are simpler would greatly increase the level of legal certainty provided, which would in turn increase the ability of the rules to facilitate efficient notification and investigation of concentrations before the Commission. Finally, the reduced need for paper as a result of the electronic transmission of documents also entails a positive impact on sustainable development goal number 12 (responsible consumption), although very limited.

Indirectly, law firms and other professionals advising businesses on compliance with the EU Merger Regulation would also benefit from a clearer set of rules, which would allow them to more effectively advise businesses.

The benefits of the different policy options for businesses were explained in more detail in Section 6 of this report.

1.2. Commission

This initiative would also have practical implications for the Commission, which applies the EU merger procedural rules. The Commission would have to take into account these rules to:

- determine whether a case should be treated under the simplified or the non-simplified procedure;
- confirm that a notification (or other submission) is complete and correctly signed and submitted; and
- organise the merger review procedure.

The impact of the initiative on enforcement authorities is explained in more detail in Section 6 of the report.

1.3. Consumers

The initiative is not expected to have direct practical implications for consumers, as the legal texts do not apply to them and are usually not used by them in any relevant manner. Indirectly, however, consumers would be affected by the initiative, in that they will continue to benefit from effective competition (in terms of prices, quality, choice, and innovation) as the Commission will be able to dedicate its resources and intervene in mergers raising competition concerns (unlike simplified cases).

2. Summary of Costs and Benefits

As explained in the report, it proved impossible to collect sufficient quantitative evidence on the costs and benefits of the identified policy options. It should be noted from the outset that while savings for businesses involved in a notification (notifying parties) are significant, the aggregate impact of this initiative on businesses is limited, given the relatively small number of companies compared to the number of overall existing companies that notify a transaction to the Commission every year: in the last 5 years, there have been less than 400 notifications per year, which include most often only one notifying party. Moreover, the additional number of cases captured by the simplified procedure will be limited.

The Commission has attempted to quantify in monetary terms the cost savings for businesses, asking stakeholders on several occasions to quantify these benefits and cost reductions. However, it proved impossible to collect sufficient quantitative evidence on the costs and benefits of the identified policy options. The fact that it was not possible to quantify this type of costs and benefits had already become apparent during the Evaluation of procedural and jurisdictional aspects of EU merger control which preceded

this impact assessment.[66] During the impact assessment, several stakeholders identified the benefits and cost reductions resulting from the simplification/streamlining of merger procedural rules. The Commission asked stakeholders on several iterations to quantify these benefits and cost reductions. Questions were included in the Public Consultation and the Commission also sent more targeted follow-up questions by email to stakeholders that had replied to the Public Consultation.[67] In particular, the Commission asked a number of law firms and associations representing multiple law firms and businesses that had stated in their replies to the Public Consultation that the Commission's proposals would limit the burden of businesses related to merger control to provide quantitative evidence for their statement. Even following a reminder sent to these respondents, the Commission only received limited replies, which do not include sufficient information or data to accurately estimate costs savings in terms of time or money. In this regard, an association of law firms explained that "estimating costs related to M&A transactions is a nearly impossible task. The cost of a transaction will be very case-specific, and very much depend on the industry, the parties, the complexity of the case, the market dynamics, the timeline, the outside counsels involved".

Only two respondents provided rough estimates of the costs of a simplified procedure and one respondent provided rough estimates of the costs of a normal procedure. On the costs of a simplified procedure, while the first respondent estimated that on average a simplified procedure implies EUR 115 000 in costs of legal fees, an amount that according to this respondent should probably be doubled to take into account the costs for preparation and support provided internally by the parties to the concentration, the second respondent provided a largely different amount, estimating that a simplified procedure costs generally EUR 50 000. These significant differences between only these two replies show the inherent difficulties of quantifying costs with any precision. The only respondent that provided data for a Phase 1 non-simplified procedure estimated that such a procedure costs on average EUR 700 000 in legal fees plus internal costs.

The respondents mentioned that in terms of cost savings, "a further simplification of the merger rules as envisaged by the current reform would likely have a significant impact" One respondent referred in this context to a reduction "in terms of the number of business people involved, and the timing for the preparation and the pre-notification phase", for which it estimates a reduction of 1 month in some cases. Another respondent mentioned in this context that "Even a week saved in pre-notification could save several thousands of Euros in legal fees for a client".

Overall, while it is clear that it is impossible to quantify cost savings precisely, it can be concluded that as a result of the simplification and streamlining of merger control procedures, for each case that would fall under the simplified procedure, and possibly

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66 See Commission Staff Working Document – Evaluation of procedural and jurisdictional aspects of EU merger control, para. 75 (available at https://ec.europa.eu/competition/consultations/2021_merger_control/SWD_findings_of_evaluation.pdf).

67 See replies to questions 1.3; 1.4; 1.9; 1.10; 2.9; 2.10; 2.11; 2.12; 3.9; 3.10; 4.4; 4.5; 5.1; 5.2 and 5.3 of the online questionnaire provided in the first open public consultation; emails sent to stakeholders in August 2022 and September 2022 regarding quantification of benefits.

also the non-simplified procedure, the notifying parties could save several hundreds of thousands of euros. This was confirmed by the large majority of private stakeholders that considered that the introduction of the preferred option would be beneficial and consider that it would bring a moderate to significant reduction of administrative burden and costs for businesses in response to the Public Consultation. Saving several hundreds of thousands euros is a significant cost reduction for the individual companies involved in the notification of a case.

Overview of Benefits – Preferred Options			
Description		**Amount**	**Comments**
Direct Benefits			
Expanding and clarifying the categories of simplified cases: Combination of Options 1, 2, and 3	Reduction of costs for notifying parties	Not possible to quantify	The Simplified procedure allows parties to the concentration to provide less information and obtain a clearance decision faster than in the normal procedure. The preferred options would capture approximately 11 additional cases under the simplified procedure, which is 9.5% of the non-simplified cases and 2 percentage points of the overall number of simplified cases. Furthermore, for non-simplified case it would capture a very significant number of markets/segments that would not need to be assessed in-depth. In particular, approximately 14% of all horizontal overlaps and up to 19% of all vertical relationships assessed under the normal procedure in the period assessed could have benefitted from the different options, and thus a detailed assessment and market investigation would not have been required for these markets. The costs of an EU merger notification include notably those resulting from preparing, drafting and submitting an EU merger notification and from waiting for approval before implementing the transaction. These costs may vary significantly depending on the scope and size of the transaction, the number of markets involved or the complexity of the case. Due to those complexities, the Commission was only able to use two rough proxies for the cost reductions in the evaluation: (i) the average length of the notification documents: the information required to submit a notification under the simplified procedure is significantly less than that required under the normal procedure and less burdensome to collect for the Parties; (ii) the average time needed to obtain a clearance decision: the waiting period until clearance entails costs for firms, notably in terms of financing costs and in terms of delaying the realization of any benefits resulting from the operation. The evaluation concluded that parties to concentration saved on average more than 25 working days (that is to say more than 5 calendar weeks) overall (including pre-notification and notification) in cases treated under the simplified procedure.
	Reduction of time required for the notifying parties to notify simplified cases	Not possible to quantify in monetary terms.	The waiting period until clearance entails costs for firms, notably in terms of financing costs and in terms of delaying the realization of any benefits resulting from the operation. The evaluation concluded that parties to concentration saved on average more than 25 working days (that is to say more than 5 calendar weeks) overall (including pre-notification and notification) in cases treated under the simplified procedure.

Overview of Benefits – Preferred Options			
Description		**Amount**	**Comments**
	Reduction of Commission resources dedicated to simplified cases	Not possible to quantify	Spending less time on clearly non-problematic cases and/or markets, the Commission case teams will be able to devote more resources to non-simplified, complex cases and potentially intervene when these cases give rise to competition concerns.
Streamlining review of simplified cases: Combination of Options 1 and 2	Reduction of costs for notifying parties	Not possible to quantify	A streamlined Short Form CO allows parties to the concentration to provide less detailed explanations on jurisdiction and substantive assessment (when not needed). This amounts to lower legal fees (when outside counsel is involved in the preparation of the notification).
	Reduction of time required for the notifying parties to notify simplified cases	Not possible to quantify	A streamlined Short Form CO allows parties to the concentration to prepare their notification faster and thus spend less time on pre-notification. This means that clearance can be achieved and the deal can close faster.
	Reduction of Commission resources dedicated to simplified cases	Not possible to quantify	Spending less time on simplified cases, the Commission case teams will be able to devote more resources to non-simplified, complex cases and potentially intervene when these cases give rise to competition concerns.
Streamlining review of non-simplified cases: Combination of Options 1, 2, 3 and 4	Reduction of time and cost for the notifying parties to notify cases under the normal procedure	Not possible to quantify	A streamlined Form CO allows parties to the concentration to provide less information. This amounts to lower legal fees (when outside counsel is involved in the preparation of the notification) and less internal company resources to collect that information.
	Reduction of Commission resources dedicated to processing non-critical information	Not possible to quantify	Spending less time on non-critical markets and information will allow the Commission case teams to devote more resources to important and complex questions of the cases
Introducing electronic notifications: Option 2	Reduction of time/burden required for parties to the concentration to notify cases and make submissions to the Commission	Not possible to quantify	Electronic transmissions of Form COs (and other documents) allow parties to the concentration to prepare their submissions faster and thus spend less time on pre-notification. This means that clearance can be achieved and the deal can close faster.
Indirect Benefits			
Expanding and clarifying the categories of simplified cases: Combination of Options 1, 2, and 3	Effective competition between companies ensured in markets affected by complex cases	Not possible to quantify	Spending less time on clearly non-problematic cases and/or markets, the Commission case teams will be able to devote more resources to non-simplified, complex cases and potentially intervene when these cases give rise to competition concerns. As a result of these interventions, effective competition will be ensured in the markets affected by complex cases.
	Reduction of costs for third party businesses	Not possible to quantify	Third party businesses will not provide information in response to official Requests For Information in the context of market investigations of clearly non-problematic cases and/or markets.
Streamlining review of simplified cases:	Effective competition between companies ensured in markets	Not possible to quantify	Spending less time on simplified cases, the Commission case teams will be able to devote more resources to non-simplified, complex cases and potentially intervene when these cases give rise to

Overview of Benefits – Preferred Options			
Description		**Amount**	**Comments**
Combination of Options 1 and 2	affected by complex cases		competition concerns. As a result of these interventions, effective competition will be ensured in the markets affected by complex cases.
Streamlining review of non-simplified cases: Combination of Options 1, 2, 3 and 4	Effective competition between companies ensured in markets affected by complex cases. Reduction of costs for third party businesses.	Not possible to quantify	Spending less time on minor aspects of non-simplified cases, the Commission case teams will be able to devote more resources to the critical parts of non-simplified, complex cases and potentially intervene when these cases give rise to competition concerns. As a result of these interventions, effective competition will be ensured in the markets affected by complex cases.
Introducing electronic notifications: Option 2	Commission's digital transformation promoted	Not possible to quantify	Electronic notifications and document transmissions reinforce the Commission's digital transformation.
Administrative cost savings related to the 'one in, one out' approach			
Direct administrative cost savings			
Description		**Amount**	**Comments**
Expanding and clarifying the categories of simplified cases: Combination of Options 1, 2, and 3		Not possible to quantify	For the reasons set out in the report, it was not possible to quantify in monetary terms.
Streamlining review of simplified cases: Combination of Options 1 and 2		Not possible to quantify	For the reasons set out in the report, it was not possible to quantify in monetary terms.
Streamlining review of non-simplified cases: Combination of Options 1, 2, 3 and 4		Not possible to quantify	For the reasons set out in the report, it was not possible to quantify in monetary terms.
Introducing electronic notifications: Option 2		Not possible to quantify	For the reasons set out in the report, it was not possible to quantify in monetary terms.
Indirect Administrative Cost Savings			
Expanding and clarifying the categories of simplified cases: Combination of Options 1, 2, and 3		Not possible to quantify	For the reasons set out in the report, it was not possible to quantify in monetary terms.
Streamlining review of simplified cases: Combination of Options 1 and 2		Not possible to quantify	For the reasons set out in the report, it was not possible to quantify in monetary terms.
Streamlining review of non-simplified cases: Combination of Options 1, 2, 3 and 4		Not possible to quantify	For the reasons set out in the report, it was not possible to quantify in monetary terms.
Introducing electronic notifications: Option 2		Not possible to quantify	For the reasons set out in the report, it was not possible to quantify in monetary terms.

Overview of Costs – Preferred Options							
Description		**Consumers**		**Businesses**		**Commission**	
		One-off	**Recurrent**	**One-off**	**Recurrent**	**One-off**	**Recurrent**
Expanding and clarifying the categories of simplified cases: Combination of Options 1, 2, and 3	Direct costs	N/A	N/A	N/A	Reduced costs for the preparation of notifications of clearly non-problematic cases and/or markets	N/A	Reduced enforcement costs for clearly non-problematic cases and/or markets
	Indirect costs	N/A	N/A	N/A	Reduced costs for third party businesses	N/A	N/A
Streamlining review of simplified cases: Combination of Options 1 and 2	Direct costs	N/A	N/A	N/A	Reduced costs for the preparation of notifications of simplified cases	N/A	Reduced enforcement costs for simplified cases
	Indirect costs	N/A	N/A	N/A	N/A	N/A	N/A
Streamlining review of non-simplified cases: Combination of Options 1, 2, 3 and 4	Direct costs	N/A	N/A	N/A	Reduced costs for the preparation of notifications	N/A	Reduced enforcement costs
	Indirect costs	N/A	N/A	N/A	N/A	N/A	N/A
Introducing electronic notifications: Option 2	Direct costs	N/A	N/A	N/A	Reduced costs for the preparation of notifications and document transmissions	N/A	N/A
	Indirect costs	N/A	N/A	N/A	N/A	N/A	N/A

Costs related to the 'one in, one out' approach							
Description		Consumers		Businesses		Commission	
		One-off	Recurrent	One-off	Recurrent	One-off	Recurrent
Expanding and clarifying the categories of simplified cases: Combination of Options 1, 2, and 3	Direct costs	N/A	N/A	N/A	Reduced costs for the preparation of notifications of clearly non-problematic cases and/or markets. Not possible to quantify.		
	Indirect costs	N/A	N/A	N/A	Reduced costs for third party businesses. Not possible to quantify.		
Streamlining review of simplified cases: Combination of Options 1 and 2	Direct costs	N/A	N/A	N/A	Reduced costs for the preparation of notifications of simplified cases. Not possible to quantify.		
	Indirect costs	N/A	N/A	N/A	N/A		
Streamlining review of non-simplified cases: Combination of Options 1, 2, 3 and 4	Direct costs	N/A	N/A	N/A	Reduced costs for the preparation of notifications. Not possible to quantify.		
	Indirect costs	N/A	N/A	N/A	N/A		
Introducing electronic notifications: Option 2	Direct costs	N/A	N/A	N/A	Reduced costs for the preparation of notifications and document transmissions. Not possible to quantify.		
	Indirect costs	N/A	N/A	N/A	N/A		

ANNEX 4 - ISSUES OF A TECHNICAL NATURE RELATING TO THE CLARITY, COMPLETENESS AND COMPLEXITY OF THE RULES

As explained in Section 5.1 of the report, the current legal framework includes (in addition to the EU Merger Regulation) the Implementing Regulation and the Notice on Simplified Procedure (as last updated in 2013). In addition to expanding the simplified categories; streamlining the review of simplified and non-simplified cases; and introducing electronic transmissions of documents, the Evaluation showed that further targeting of EU merger control should be considered, by clarifying and revising merger procedural rules (e.g., in the Implementing Regulation).

Against this background, together with the revisions in the legal texts reflecting the preferred options as described in Section 7 of the report, the Commission amended provisions of the Implementing Regulation to clarify and complete them. Key among these amendments are the following:

a. *Article 2 of the draft revised Implementing Regulation*. Under the existing Implementing Regulation, Article 2 includes paragraph 3 which reads: "[j]*oint notifications shall be submitted by a joint representative who is authorised to transmit and receive documents on behalf of all notifying parties".* However, in the Commission's decisional practice, joint notifications are also accepted when each of the notifying parties have a separate representative who signs the notification. Thus, Article 2(3) was removed.

b. *Article 9 of the draft Implementing Regulation.* This article provides for the suspension of time limits under certain circumstances and details the circumstances under which the suspension ends, including inter alia where the parties fail to provide information requested by the Commission. The proposed amendment aims to clarify that the Commission has the possibility to restart the clock ex officio where the information requested is no longer necessary.

c. *Article 13(2) of the draft revised Implementing Regulation*. The existing Implementing Regulation makes reference to the statement of objections, a document that the Commission can address to the notifying parties in the course of merger investigations. In response to this document, the notifying parties can provide comments exercising their rights of defence.[68] In its decisional practice, after sending a statement of objections, the Commission sometimes sends a supplementary statement of objections. This raises new objections or modifies the intrinsic nature of the objections previously raised. Article 13(2) was amended to include a reference to supplementary statements of objections.

d. *Article 13(4) of the draft revised Implementing Regulation*. In its decisional practice, after sending a statement of objections, the Commission sometimes sends a letter of

[68] See also Article 18(3) of the EU Merger Regulation.

facts to the notifying parties. This informs the parties of additional or new facts or evidence that the Commission wishes to use to corroborate objections already raised (in a statement of objections). Article 13(3) was amended to include a reference to letters of fact.

All these amendments were included in the draft revised legal texts and stakeholders were consulted on them in the second consultation of stakeholders and third targeted consultation of stakeholders on a proposed modification to Article 9 of the Implementing Regulation. No stakeholder opposed the inclusion of these amendments in the Implementing Regulation.

ANNEX 5: REVIEW OF INTERVENTION CASES IN THE PERIOD 2015-2020

1. One of the internal research work streams that we have conducted concerns the review of past cases in which the Commission intervened in the period from 2015 until 2020 (a total of 127 cases). The purpose of this review is to assess the risks of introducing new categories of simplified cases (i.e. to identify whether any of the past intervention cases in the relevant period would have been caught by any of the proposed categories). We summarize the findings of our research in the following sections.

1. Interventions in horizontal mergers

1.1. Flexibility clause

2. We propose to introduce in the Notice on Simplified Procedure a flexibility clause for horizontal overlaps with combined market shares between 20 and 25% and for vertical relationships with combined markets shares between 30 and 35%.

3. The internal research showed that in 23 cases out of the total 127 interventions (i.e. in 18% of the interventions), the Commission intervened in some markets where the parties had horizontal overlaps with combined market shares below 25%. More specifically, we found the following situations:

   a) In nine cases, there were some intervention markets with market shares between 20 and 25% in some market segments (some of them even below the current 20% threshold) but market shares where significantly higher in other segments. Given that the 25% threshold was exceeded in certain segments, the flexibility clause would not have been applicable.

   b) In eight cases, there were some national markets with market shares between 20 and 25% in some Member States where we intervened, but many other national markets with significantly higher shares (this is for instance the case in several pharmaceutical mergers). In these cases, the remedy typically covered all the EEA for viability reasons. Therefore, the impact of any flexibility clause in these cases would have been very limited.

   c) In six cases, there were some intervention markets with market shares between 20 and 25% (some of them even below 20%), but in these markets there were less than three significant competitors left post-transaction. To avoid that these markets escape the Commission's review further to the introduction of a flexibility clause, a new safeguard should be introduced, requiring for the application of the simplified procedure that at least three significant competitors remain in the market post-merger. Moreover, we will require notifying parties to systematically provide market shares for at least three competitors for the three years prior to the transaction so that these situation can be spot early in the process and submit these markets to a full review under the normal procedure, rather than treating them under the simplified procedure.

d) In three cases, there were some intervention markets with market shares between 20 and 25% (or even below 20%) in the year prior to the transaction, but the combined market shares were higher in previous years. We currently already require market shares for the last three financial years prior to each transaction, so these situations are also easy to identify.

e) In three cases, the market shares provided by the parties were not reliable and the Commission had to carry out a market reconstruction. In certain cases, the parties presented very low market shares, which were unreliable. However, the Commission was able to identify the problem and relied on a market reconstruction or other estimates. The current safeguards and exceptions in the Notice on Simplified Procedure already indicate that the simplified procedure should not apply where market shares are unreliable. This should continue to be the case in a revised Notice on Simplified Procedure. Therefore, the introduction of the envisaged flexibility clause should not have a significant impact in these situations.

f) In three cases, there were some intervention markets with market shares below 25%, but one of the Parties was a recent entrant. To avoid that these markets escape the Commission's attention further to the introduction of a flexibility clause, a specific safeguard should be introduced in the Notice on Simplified Procedure, which excludes in principle the application of the simplified procedure for cases where one of the parties is a recent entrant. This would again allow the Commission to easily spot these situations early in the process.

g) In two cases in which there were hundreds of overlap markets, the parties had combined market shares between 20 and 25% (or even below 20%) on a limited number of overlap markets. Remedies in these cases, however, addressed all concerns even in these markets, so the impact of any flexibility clause would again have been very limited.

h) In one case, there were some intervention markets with market shares below 25%, but with pipeline overlaps. Again, to avoid any risk of overlooking such cases and treating them as simplified under the flexibility clause, we should introduce a specific safeguard for this situation for pipeline to pipeline or pipeline to marketed products overlaps, allowing the Commission teams to easily spot these situations early in the process.

2. Interventions in vertical cases

2.1. Flexibility clause

4. The internal research showed that we intervened in three cases (2% of the total number of interventions in the period 2015-2020) on some markets with vertical relationships with combined markets shares between 30-35%. However, none of these cases would have completely fallen under the simplified procedure with the flexibility clause, as there were other markets with higher market shares. Moreover, the flexibility clause would not have had any impact on any of the markets in which

we intervened. In each of the three cases concerned, we found markets which presented higher market shares depending on segments or geographies (national or local markets). In one case, market shares were not reliable given that the parties had included a company that was clearly not a competitor (in any event the market shares in this case ranged between 33-39%). Finally, in one case the market share thresholds were exceeded in terms of capacity in the upstream market with high market shares in some national downstream markets. For the last situation, we propose including a specific safeguard in the Notice on Simplified Procedure which excludes the application of the simplified procedure for markets where market share thresholds are exceeded in terms of capacity or production. That would again allow the Commission to easily spot these situations early in the process.

3. Reference to joint ventures with up to EUR 150 million turnover or assets value

5. Our internal research on intervention cases shows that one of the 127 cases in which we have intervened in the period 2015-2020 could have fallen under this new category. In fact, another case fell under the current threshold, as the turnover of the JV was lower than EUR 100 million. However, this was not an impediment to assess the case under the normal procedure and ultimately even prohibit the transaction.

6. Including a safeguard requiring the parties to systematically provide market shares for all overlap markets, even if the case falls under this simplified category (as it currently done in our case practice), it would be easy for the Commission to identify any clearly problematic markets that might require reverting the case to the normal procedure despite the small size of the joint venture.

4. Conclusion

7. Based on the result of our internal research, none of the 127 interventions in the period 2015-2020 would have completely fallen under the simplified procedure with the new categories proposed in conjunction with the additional safeguards proposed.